

STRATUM CAPITAL BANK
Enterprise Governance & Risk Framework

CHAPTER 14
CREDIT RATING & RISK GRADE FRAMEWORK

Consumer Lending Division — Enterprise Credit Policy

Document Control

Field	Detail
Document Owner	Chief Credit Officer, Consumer Lending Division
Document Classification	Internal — Credit Policy Manual
Applies To	Credit Officers, Loan Underwriters, Risk Managers, Credit Committees, Internal Audit, Enterprise Risk Management
Parent Framework	Stratum Capital Bank — Enterprise Governance & Risk Framework (EGRF)
Chapter Reference	EGRF Chapter 14
Review Cycle	Annual, or upon material change to underwriting policy, portfolio performance, or regulatory guidance
Related Chapters	Chapter 9 (Underwriting Standards), Chapter 11 (Pricing & Yield Management), Chapter 16 (Provisioning & Expected Credit Loss), Chapter 18 (Portfolio Monitoring & Early Warning Indicators)

Table of Contents

- 14.1 Introduction
- 14.2 Enterprise Credit Rating Philosophy
- 14.3 Primary Credit Grades (A–G)
- 14.4 Sub-Grade Framework (A1–G5)
- 14.5 Grade Transition Framework
- 14.6 Relationship with Other Lending Features
- 14.7 Approval Decision Matrix
- 14.8 Enterprise Lending Case Studies
- 14.9 Operational Best Practices

14.1. Introduction

14.1.1 Purpose of Enterprise Credit Grading

This chapter establishes the enterprise-wide framework by which Stratum Capital Bank ('the Bank') classifies consumer loan applicants into standardized Credit Grades and Sub-Grades. The grading framework is the foundation upon which underwriting decisions, risk-based pricing, portfolio monitoring, and credit governance are built across the Consumer Lending Division.

The framework assigns each borrower a Primary Grade (A through G) and a Sub-Grade (1 through 5 within each Primary Grade), producing thirty-five distinct risk classifications ranging from A1 (lowest risk) to G5 (highest risk). Every Credit Officer, Loan Underwriter, Risk Manager, and member of a Credit Committee is required to apply this framework consistently in the performance of their duties.

14.1.2 Why the Bank Classifies Borrowers

Consumer lending decisions require a disciplined, repeatable method of distinguishing between applicants who present materially different levels of default risk. Without a standardized grading system, underwriting decisions would depend on the individual judgement of each Credit Officer, producing inconsistent outcomes, inequitable pricing, and heightened regulatory and reputational exposure.

The Credit Grade and Sub-Grade framework exists to:

- Provide a common risk language used consistently across underwriting, pricing, portfolio management, and audit functions
- Ensure that borrowers presenting comparable risk profiles receive comparable lending decisions and pricing
- Support risk-based pricing that aligns the cost of credit with the probability of default
- Provide Credit Committees and Internal Audit with a transparent, defensible basis for lending decisions
- Support portfolio-level risk aggregation, stress testing, and expected credit loss estimation
- Satisfy regulatory expectations for documented, consistent, and non-discriminatory credit decisioning

14.1.3 Relationship Between Grades and Default Risk

Each Primary Grade corresponds to a defined band of expected default probability ('PD'), informed by the borrower's credit history, income stability, existing debt obligations, and repayment capacity. Grade A represents the Bank's lowest-risk consumer lending segment; Grade G represents the highest-risk segment the Bank will consider for standard consumer lending products, and typically requires enhanced review or is declined absent material risk mitigation.

Sub-Grades refine this classification further. Within any Primary Grade, Sub-Grade 1 represents the strongest (lowest-risk) borrowers within that grade, and Sub-Grade 5 represents the weakest (highest-risk) borrowers within that grade — those bordering the threshold of the next, higher-risk Primary Grade. This graduated structure allows the Bank to price and manage risk with precision rather than treating all borrowers within a single letter grade as equivalent.

14.1.4 Risk-Based Pricing

The Bank prices consumer credit according to the principle that the interest rate charged should compensate the Bank for the expected loss, cost of capital, and cost of servicing associated with a given risk classification. Grade and Sub-Grade are the primary determinants of the base interest rate offered to a borrower, subject to adjustment for loan-specific characteristics addressed in Section 14.6.

14.1.5 Credit Governance

This framework is a control instrument as much as a pricing instrument. It ensures that lending authority delegated to Credit Officers and automated decisioning channels operates within Board-approved risk appetite, and it provides Internal Audit and Enterprise Risk Management with a consistent basis for reviewing underwriting quality and detecting policy drift.

14.1.6 Lending Consistency

Every application, regardless of channel, originating branch, or Credit Officer, must be graded using the same criteria described in this chapter. Deviation from the framework, including manual override of an assigned grade, must be documented in accordance with Section 14.9.4 (Manual Overrides and Documentation).

14.1.7 Regulatory Expectations

Supervisory authorities expect regulated lenders to maintain a documented, consistently applied credit risk rating methodology that supports fair lending, adequate capital and provisioning, and transparent decision rationale. This chapter, together with its referenced policies, constitutes the Bank's documented methodology for consumer credit grading and is subject to periodic review by Internal Audit and Enterprise Risk Management.

14.2. Enterprise Credit Rating Philosophy

14.2.1 Why Grading Systems Exist

A credit grading system exists to translate a large and heterogeneous set of borrower attributes — income, employment history, existing debt, repayment history, and credit bureau data — into a single, ordinal risk classification that can be consistently understood and acted upon across the organization. The grading system does not replace underwriting judgement; it structures and disciplines it.

14.2.2 How Grading Improves Consistency

By defining explicit borrower characteristics, income and debt thresholds, and credit history expectations for each Grade and Sub-Grade, this framework reduces the variance in lending decisions that would otherwise arise between individual Credit Officers, branches, and origination channels. Consistency is a control objective in its own right: it is the basis on which the Bank can demonstrate fair and equitable treatment of similarly situated applicants.

14.2.3 Relationship with Underwriting

The assigned Grade and Sub-Grade form the starting point of the underwriting decision, not its conclusion. Underwriters use the grade to determine the applicable review tier (see Section 14.4 and Section 14.7), the compensating factors that may be required, and the documentation standard that applies. Underwriters retain professional judgement to escalate, decline, or apply conditions within the boundaries set by this chapter.

14.2.4 Relationship with Portfolio Management

Aggregated by Grade and Sub-Grade, the Bank's consumer loan portfolio can be monitored for concentration risk, vintage performance, and migration trends. Portfolio Management uses grade-level aggregation to set origination targets, monitor exposure limits by risk tier, and inform Board-level risk appetite reporting.

14.2.5 Relationship with Pricing

Grade and Sub-Grade determine the base interest rate band applicable to a loan, described fully in Section 14.6.4. Pricing Committee reviews rate bands by Grade at least annually to ensure that pricing continues to reflect observed portfolio performance and the Bank's cost of funds.

14.2.6 Relationship with Provisioning and Expected Credit Loss

Grade and Sub-Grade are key inputs into the estimation of expected credit loss for financial reporting and regulatory capital purposes. Each Grade's associated probability-of-default band (Section 14.3) feeds directly into loss-given-default and exposure-at-default calculations maintained under Chapter 16 (Provisioning & Expected Credit Loss). Grade migration — the movement of accounts between grades over the life of a loan — is a primary driver of provisioning adjustments.

14.2.7 Relationship with Monitoring

Post-origination monitoring requirements, described within each Grade and Sub-Grade section, are calibrated to the risk level of the account. Higher-risk grades are subject to more frequent account review, more conservative early-warning thresholds, and closer collections engagement, consistent with Chapter 18 (Portfolio Monitoring & Early Warning Indicators).

14.3. Primary Credit Grades (A–G)

The seven Primary Grades and the risk-parameter ranges, borrower profile, and lending policy that apply to each.

14.3.1 Grade A

Lowest risk tier in the Bank's consumer lending spectrum

Risk Parameter	Grade-Level Range
FICO Range	760–850
Debt-to-Income (DTI)	5%–15%
Revolving Utilization	0%–20%
Base Interest Rate (APR)	6.50%–9.00%
Modeled Probability of Default	0.4%–2%

Definition: Grade A designates applicants who present the strongest overall credit profile evaluated by the Bank: excellent credit history, low existing debt relative to income, stable and well-documented income, and no material derogatory credit events. Grade A borrowers represent the benchmark against which all other grades are measured.

Overall Risk Level: Lowest risk tier in the Bank's consumer lending spectrum

Typical Borrower Characteristics: Grade A borrowers typically maintain FICO scores of 760 and above, carry low revolving utilization, and have a long, unblemished credit history spanning multiple account types. They generally hold stable, verifiable employment and maintain a debt-to-income (DTI) ratio below 15%.

Expected Credit Behaviour: Grade A accounts exhibit highly predictable repayment behaviour. Historical portfolio performance shows minimal delinquency incidence and very low early-stage roll rates into 30- and 60-day past due status.

Typical Income Stability: High. Income is typically salaried, verifiable through payroll documentation or tax records, and has shown consistency or growth over the preceding 24 months.

Typical Employment Profile: Employment tenure of 5 years or more with a single employer, or a demonstrated stable career trajectory within a professional field. Self-employed applicants in this grade typically present multiple years of audited or tax-verified income.

Debt Characteristics: Low overall indebtedness relative to income. Revolving credit utilization is typically below 20% of available limits. Installment obligations, where present, are well-seasoned and paid as agreed.

Credit History Quality: Excellent. No history of bankruptcy, no accounts in collection, and no delinquencies of 60 days or more within the preceding 24 months. Credit file depth (age and number of tradelines) is typically extensive.

Approval Confidence: Very High. Grade A applications are strong candidates for streamlined or automated approval subject to standard documentation checks.

Expected Default Risk: Very Low — Bank-modeled probability of default for Grade A ranges from approximately 0.4% to 2.0% over the life of a standard consumer instalment loan.

Pricing Philosophy: Priced at the Bank's most favourable consumer rate tier, reflecting minimal expected loss and the Bank's objective of retaining and rewarding its lowest-risk customers.

Interest Rate Strategy: Base rate band of approximately 6.50%–9.00% APR, positioned at the low end of the Bank's consumer lending rate card, subject to loan term and amount adjustments described in Section 14.6.4.

Manual Review Requirements: Minimal. The majority of Grade A applications may be processed through the Bank's standard automated underwriting path, with manual review reserved for loan amounts above delegated authority thresholds or where application data is inconsistent with bureau data.

Monitoring Requirements: Standard quarterly portfolio-level monitoring. Individual account review is not required absent a trigger event (e.g., a new derogatory bureau record or missed payment).

Recommended Lending Strategy: The Bank actively pursues Grade A origination as the foundation of a stable, low-loss consumer loan portfolio, and extends preferential terms, including higher approval loan-to-income multiples, to retain these customers.

Business Example: A salaried software engineer with an 802 FICO score, 8% DTI, and eleven years of continuous employment applies for a \$25,000 debt-consolidation loan. The application is approved through the automated path at the Bank's preferential Grade A rate.

Real Banking Scenario: A long-tenured public-sector employee with no derogatory credit history seeks a home-improvement loan; the loan is approved same-day with no manual intervention required, consistent with Grade A's automated processing pathway.

Comparison with Neighbouring Grades: Grade A borrowers are distinguished from Grade B primarily by materially lower DTI, higher FICO scores, and longer, cleaner credit histories. Even the weakest Grade A sub-grade (A5) maintains a lower expected default probability than the strongest Grade B sub-grade (B1), reflecting the conservative calibration of the A/B boundary.

Typical Reasons for Receiving This Grade: Applicants receive Grade A due to a consistent combination of high credit scores, low leverage, stable income, and an absence of any derogatory credit event within the review period.

Typical Reasons for Moving Into This Grade: Borrowers typically move into Grade A from Grade B following sustained on-time payment history, a material reduction in revolving utilization, or an increase in verified income that reduces DTI below the Grade A threshold.

Typical Reasons for Improving From This Grade: As the top grade, there is no higher grade to improve into; continued strong performance is instead reflected through improvement in Sub-Grade position (e.g., from A3 to A1), which may support more favourable pricing on future originations.

14.3.2 Grade B

Low risk; the Bank's prime lending tier immediately below Grade A

Risk Parameter	Grade-Level Range
FICO Range	700–759
Debt-to-Income (DTI)	15%–22%
Revolving Utilization	15%–40%
Base Interest Rate (APR)	9.00%–12.50%
Modeled Probability of Default	2%–5%

Definition: Grade B designates applicants with a strong, though not exceptional, credit profile. These borrowers demonstrate reliable repayment history and adequate income relative to obligations, with modest elevation in leverage or a shorter credit history relative to Grade A.

Overall Risk Level: Low risk; the Bank's prime lending tier immediately below Grade A

Typical Borrower Characteristics: Grade B borrowers typically maintain FICO scores between 700 and 759, DTI ratios between 15% and 22%, and a solid though not extensive credit history. Minor, dated credit events (e.g., a single 30-day delinquency more than 12 months prior) may be present.

Expected Credit Behaviour: Grade B accounts perform reliably, with a modestly higher incidence of early-stage delinquency than Grade A but strong overall repayment consistency.

Typical Income Stability: Good. Income is generally verifiable and stable, though tenure with a current employer may be shorter, or income may include a smaller variable component (bonus, commission) than typically seen in Grade A.

Typical Employment Profile: Typically 3 to 5 years of employment history, which may include one employer transition within a consistent field, or a shorter tenure with a well-established employer.

Debt Characteristics: Moderate leverage. Revolving utilization typically falls between 15% and 40% of available limits. Installment debt is generally current and well-managed.

Credit History Quality: Good. No bankruptcy and no delinquency greater than 60 days within the preceding 24 months; may include isolated, minor derogatory marks that are dated or resolved.

Approval Confidence: High. The large majority of Grade B applications are approved on standard terms.

Expected Default Risk: Low — Bank-modeled probability of default for Grade B ranges from approximately 2.0% to 5.0%.

Pricing Philosophy: Priced competitively above the Grade A tier, reflecting a modest increase in expected loss while remaining within the Bank's prime consumer lending range.

Interest Rate Strategy: Base rate band of approximately 9.00%–12.50% APR.

Manual Review Requirements: Low to moderate. Automated approval is available for straightforward applications; manual review is applied where DTI approaches the upper bound of the grade or where employment history is limited.

Monitoring Requirements: Standard quarterly portfolio monitoring, with individual account review triggered by a missed payment or a new derogatory bureau tradeline.

Recommended Lending Strategy: The Bank targets Grade B as a core growth segment, offering competitive standard terms with selective use of compensating-factor underwriting to convert borderline Grade C applicants who present strong offsetting characteristics.

Business Example: A marketing manager with a 728 FICO score, 19% DTI, and four years at her current employer applies for a \$15,000 auto-refinance loan. The application is approved on standard Grade B terms following a routine underwriter review of income documentation.

Real Banking Scenario: An applicant with a single, isolated 30-day late payment eighteen months prior, otherwise clean credit history, and stable income is assigned Grade B rather than Grade A due to the dated derogatory mark, and is approved with standard conditions.

Comparison with Neighbouring Grades: Grade B sits between Grade A and Grade C. Compared with Grade A, Grade B borrowers carry higher leverage and shorter credit histories; compared with Grade C, Grade B borrowers show materially lower DTI and stronger, more consistent repayment history.

Typical Reasons for Receiving This Grade: Applicants receive Grade B due to solid but not exceptional credit metrics — good FICO scores, manageable DTI, and generally clean credit history with at most minor, dated derogatory marks.

Typical Reasons for Moving Into This Grade: Borrowers move into Grade B from Grade C following a period of on-time payments, DTI reduction through income growth or debt paydown, or the ageing-out of a previously derogatory credit event.

Typical Reasons for Improving From This Grade: Borrowers improve from Grade B into Grade A through sustained low utilization, continued on-time payment history over an extended period, and DTI reduction below the Grade A threshold.

14.3.3 Grade C

Moderate risk; the Bank's near-prime lending tier

Risk Parameter	Grade-Level Range
FICO Range	660–699
Debt-to-Income (DTI)	22%–30%
Revolving Utilization	35%–60%
Base Interest Rate (APR)	12.50%–16.50%
Modeled Probability of Default	5%–9%

Definition: Grade C designates applicants presenting an acceptable but discernibly higher-risk profile than Grades A or B. These borrowers typically show elevated DTI, moderate credit utilization, and a credit history that may include one or more dated derogatory events.

Overall Risk Level: Moderate risk; the Bank's near-prime lending tier

Typical Borrower Characteristics: Grade C borrowers typically maintain FICO scores between 660 and 699, DTI ratios between 22% and 30%, and a credit history of moderate depth. Some Grade C applicants are borrowers rebuilding credit following a past financial setback.

Expected Credit Behaviour: Grade C accounts show a materially higher incidence of delinquency than Grades A and B and require closer monitoring, though the majority of accounts continue to perform as agreed.

Typical Income Stability: Fair. Income is typically verifiable but may include greater variability, part-time components, or shorter documented history than higher grades.

Typical Employment Profile: Typically 1 to 3 years at current employer, or a history that includes more frequent employment transitions, without necessarily indicating instability.

Debt Characteristics: Elevated leverage. Revolving utilization typically falls between 35% and 60% of available limits, indicating meaningful reliance on revolving credit.

Credit History Quality: Fair. May include occasional delinquency of 30–60 days within the preceding 24 months, a single collection account that has since been resolved, or a thinner credit file than higher grades.

Approval Confidence: Moderate. A meaningful share of Grade C applications require compensating factors or conditional approval terms.

Expected Default Risk: Moderate — Bank-modeled probability of default for Grade C ranges from approximately 5.0% to 9.0%.

Pricing Philosophy: Priced to reflect meaningfully higher expected loss than prime tiers, positioning Grade C at the boundary between the Bank's prime and near-prime consumer lending products.

Interest Rate Strategy: Base rate band of approximately 12.50%–16.50% APR.

Manual Review Requirements: Mandatory manual underwriting review for all Grade C applications, with particular attention to DTI, utilization trend, and the age and severity of any derogatory tradelines.

Monitoring Requirements: Enhanced monitoring, including monthly portfolio-level delinquency tracking and closer collections engagement at first sign of payment irregularity.

Recommended Lending Strategy: The Bank approves Grade C lending selectively, favouring applicants who present strong compensating factors (e.g., stable housing tenure, low recent inquiry volume, or a clear, documented explanation for prior derogatory events) and applies conditional terms such as reduced loan amounts or shorter terms where appropriate.

Business Example: A retail supervisor with a 678 FICO score, 27% DTI, and one resolved collection account from three years prior applies for a \$10,000 personal loan. Following manual underwriter review, the loan is approved with a reduced loan amount and standard Grade C pricing.

Real Banking Scenario: An applicant recently re-established after a period of reduced income presents improving but still-thin credit history; the application is approved at Grade C with a shorter loan term to limit the Bank's duration of exposure.

Comparison with Neighbouring Grades: Grade C sits between Grade B and Grade D. Compared with Grade B, Grade C carries materially higher DTI and utilization; compared with Grade D, Grade C borrowers show meaningfully lower delinquency incidence and generally stronger income documentation.

Typical Reasons for Receiving This Grade: Applicants receive Grade C due to a combination of moderate credit scores, elevated DTI or utilization, and a credit history that includes some — but not severe or recent — derogatory events.

Typical Reasons for Moving Into This Grade: Borrowers move into Grade C from Grade D following sustained on-time repayment, reduction in revolving balances, or the resolution and ageing of prior derogatory marks.

Typical Reasons for Improving From This Grade: Borrowers improve from Grade C into Grade B through DTI reduction, a documented increase in income stability, and continued clean repayment history over an extended monitoring period.

14.3.4 Grade D

Elevated risk; requires enhanced underwriting scrutiny

Risk Parameter	Grade-Level Range
FICO Range	620–659
Debt-to-Income (DTI)	30%–38%
Revolving Utilization	55%–75%
Base Interest Rate (APR)	16.50%–21.00%
Modeled Probability of Default	9%–15%

Definition: Grade D designates applicants with a below-average credit profile characterized by high leverage, a credit history including more recent or more severe derogatory events, and reduced repayment capacity relative to obligations.

Overall Risk Level: Elevated risk; requires enhanced underwriting scrutiny

Typical Borrower Characteristics: Grade D borrowers typically maintain FICO scores between 620 and 659, DTI ratios between 30% and 38%, and a credit history that includes delinquency within the preceding 12 to 24 months.

Expected Credit Behaviour: Grade D accounts exhibit a significantly elevated incidence of delinquency and require active monitoring; a meaningful minority of accounts roll into serious delinquency without early intervention.

Typical Income Stability: Below average. Income may be inconsistently documented, subject to seasonal or gig-economy variability, or insufficient relative to the applicant's total obligations without adjustment to the requested loan terms.

Typical Employment Profile: Employment history is often under 2 years at the current position, or includes recent transitions that warrant additional verification.

Debt Characteristics: High leverage. Revolving utilization typically falls between 55% and 75% of available limits.

Credit History Quality: Below average. Typically includes one or more delinquencies of 60–90 days within the preceding 24 months and may include a single collection or charge-off account.

Approval Confidence: Low to Moderate. Approval is possible but depends materially on the presence of compensating factors and often results in modified loan terms.

Expected Default Risk: Elevated — Bank-modeled probability of default for Grade D ranges from approximately 9.0% to 15.0%.

Pricing Philosophy: Priced to reflect substantially higher expected loss, positioning Grade D within the Bank's non-prime consumer lending range.

Interest Rate Strategy: Base rate band of approximately 16.50%–21.00% APR.

Manual Review Requirements: Mandatory manual underwriting review with senior underwriter sign-off; additional income and identity verification is standard practice for this grade.

Monitoring Requirements: Close monitoring, including monthly individual account review for the first six months of the loan term and immediate escalation to collections outreach upon first missed payment.

Recommended Lending Strategy: The Bank extends Grade D credit selectively and typically applies risk mitigants such as reduced loan-to-income ratios, shorter terms, or lower approved amounts than requested; declines are common where compensating factors are absent.

Business Example: A rideshare driver with variable monthly income, a 634 FICO score, and a 60-day delinquency from fourteen months prior applies for an \$8,000 loan. The loan is approved at a reduced amount of \$5,000 with a shorter 24-month term following senior underwriter review.

Real Banking Scenario: An applicant with recent high utilization following a documented medical expense, but otherwise consistent payment history, is approved at Grade D with a requirement for updated income verification prior to closing.

Comparison with Neighbouring Grades: Grade D sits between Grade C and Grade E. Compared with Grade C, Grade D carries materially higher DTI, utilization, and more recent derogatory history; compared with Grade E, Grade D borrowers have not typically experienced bankruptcy or severe, recent charge-off activity.

Typical Reasons for Receiving This Grade: Applicants receive Grade D due to a combination of high leverage, recent delinquency, and reduced income stability that materially elevates expected default risk relative to near-prime grades.

Typical Reasons for Moving Into This Grade: Borrowers move into Grade D from Grade E following the passage of time since a severe derogatory event, demonstrated post-event payment consistency, or a reduction in overall leverage.

Typical Reasons for Improving From This Grade: Borrowers improve from Grade D into Grade C through sustained on-time payments over 12 months or more, material reduction in revolving utilization, and no new derogatory tradelines.

14.3.5 Grade E

High risk; enhanced review required, approval is selective

Risk Parameter	Grade-Level Range
FICO Range	580–619
Debt-to-Income (DTI)	38%–45%
Revolving Utilization	70%–90%
Base Interest Rate (APR)	21.00%–26.00%
Modeled Probability of Default	15%–23%

Definition: Grade E designates applicants with a high-risk credit profile, typically including significant recent derogatory history, high leverage, and constrained repayment capacity. Approval requires material compensating factors.

Overall Risk Level: High risk; enhanced review required, approval is selective

Typical Borrower Characteristics: Grade E borrowers typically maintain FICO scores between 580 and 619, DTI ratios between 38% and 45%, and a credit history that may include a discharged bankruptcy older than 48 months or multiple recent delinquencies.

Expected Credit Behaviour: Grade E accounts show a high incidence of delinquency historically, with early payment performance serving as a critical indicator of ultimate loan outcome.

Typical Income Stability: Weak. Income documentation is often incomplete, irregular, or insufficient without a co-applicant or additional verification.

Typical Employment Profile: Employment history is frequently unstable, with multiple transitions within the preceding 24 months, or limited employment history overall.

Debt Characteristics: Very high leverage. Revolving utilization typically falls between 70% and 90% of available limits.

Credit History Quality: Poor. Typically includes multiple delinquencies within the preceding 24 months, a recent collection account, or a discharged bankruptcy outside the most recent 48-month window.

Approval Confidence: Low. The majority of Grade E applications require Credit Committee input or are declined absent strong compensating factors such as collateral or a qualified co-signer.

Expected Default Risk: High — Bank-modeled probability of default for Grade E ranges from approximately 15.0% to 23.0%.

Pricing Philosophy: Priced at a substantial premium to compensate for high expected loss, positioned at the upper boundary of the Bank's non-prime lending appetite.

Interest Rate Strategy: Base rate band of approximately 21.00%–26.00% APR.

Manual Review Requirements: Mandatory enhanced review, including senior underwriter and, in most cases, Credit Committee evaluation prior to approval.

Monitoring Requirements: Intensive monitoring, including bi-weekly account review during the first 90 days and proactive collections contact at the earliest indication of payment irregularity.

Recommended Lending Strategy: The Bank approves Grade E lending only where strong compensating factors are present — such as a qualified co-signer, secured collateral, or a materially reduced loan amount — and otherwise declines the application.

Business Example: An applicant with a 598 FICO score and two 90-day delinquencies within the past 18 months applies for a \$6,000 loan with a qualified co-signer whose own credit profile is Grade B. Following Credit Committee review, the loan is approved with the co-signer's participation and enhanced monitoring conditions.

Real Banking Scenario: A borrower two years removed from a Chapter 13 bankruptcy discharge with demonstrated on-time payments since discharge is evaluated at Grade E with a reduced loan amount and mandatory automatic payment enrollment as a condition of approval.

Comparison with Neighbouring Grades: Grade E sits between Grade D and Grade F. Compared with Grade D, Grade E carries a materially higher incidence of recent severe derogatory events; compared with Grade F, Grade E borrowers are more likely to be several years removed from bankruptcy and to demonstrate a clearer post-event recovery pattern.

Typical Reasons for Receiving This Grade: Applicants receive Grade E due to a combination of very high leverage, multiple recent delinquencies, or a bankruptcy discharge that, while dated, remains within the Bank's heightened-risk observation window.

Typical Reasons for Moving Into This Grade: Borrowers move into Grade E from Grade F as derogatory events age further into the past and post-event repayment history lengthens without further incident.

Typical Reasons for Improving From This Grade: Borrowers improve from Grade E into Grade D through 18 to 24 months of consistent on-time payment history, meaningful reduction in revolving utilization, and no new derogatory tradelines.

14.3.6 Grade F

Very high risk; approval is exceptional

Risk Parameter	Grade-Level Range
FICO Range	540–579
Debt-to-Income (DTI)	45%–52%
Revolving Utilization	85%–100%
Base Interest Rate (APR)	26.00%–31.00%
Modeled Probability of Default	23%–32%

Definition: Grade F designates applicants with a severely impaired credit profile, typically including recent bankruptcy, multiple serious delinquencies, or charge-off history. Approval at this grade is uncommon and requires substantial risk mitigation.

Overall Risk Level: Very high risk; approval is exceptional

Typical Borrower Characteristics: Grade F borrowers typically maintain FICO scores between 540 and 579, DTI ratios between 45% and 52%, and a credit history reflecting significant, relatively recent financial distress.

Expected Credit Behaviour: Grade F accounts have historically shown very high delinquency and default incidence; portfolio experience indicates that only accounts with strong risk mitigants perform acceptably.

Typical Income Stability: Very weak. Income is frequently difficult to verify, insufficient relative to obligations, or dependent on a co-applicant.

Typical Employment Profile: Employment history typically shows significant instability or gaps within the preceding 24 months.

Debt Characteristics: Extreme leverage. Revolving utilization typically exceeds 85% of available limits, often approaching full utilization.

Credit History Quality: Very poor. Typically includes a bankruptcy within the preceding 24 to 48 months, multiple charge-off or collection accounts, or a pattern of serious delinquency (90 days or more) within the preceding 12 months.

Approval Confidence: Very Low. The overwhelming majority of Grade F applications are declined; approval is reserved for exceptional cases with substantial collateral or guarantor support.

Expected Default Risk: Very High — Bank-modeled probability of default for Grade F ranges from approximately 23.0% to 32.0%.

Pricing Philosophy: Priced at the top of the Bank's standard consumer lending rate card to reflect severe expected loss, where lending is extended at all.

Interest Rate Strategy: Base rate band of approximately 26.00%–31.00% APR.

Manual Review Requirements: Mandatory, comprehensive Credit Committee review for every application; standard underwriter authority does not extend to approval at this grade.

Monitoring Requirements: Maximum monitoring intensity, including weekly account review during the first 90 days, mandatory automatic payment enrollment, and immediate collections escalation upon any missed payment.

Recommended Lending Strategy: The Bank declines the substantial majority of Grade F applications. Approval, where granted, is limited to cases with fully secured collateral, a strong qualified co-signer, or another form of material risk transfer approved by Credit Committee.

Business Example: An applicant with a 555 FICO score and a bankruptcy discharged fourteen months prior applies for a \$4,000 loan. The application is declined due to insufficient time elapsed since discharge and absence of a qualified co-signer or collateral.

Real Banking Scenario: An applicant with severe recent delinquency but offering a fully secured cash deposit as collateral is approved at Grade F on a secured-loan basis with enhanced monitoring, illustrating the narrow circumstances under which Grade F approval occurs.

Comparison with Neighbouring Grades: Grade F sits between Grade E and Grade G. Compared with Grade E, Grade F reflects more recent and more severe derogatory history; compared with Grade G, Grade F borrowers have not typically combined multiple severe derogatory categories (e.g., simultaneous recent bankruptcy and active collections) in the way most Grade G applicants have.

Typical Reasons for Receiving This Grade: Applicants receive Grade F due to a combination of recent bankruptcy, extreme leverage, and a pattern of serious delinquency that places expected default risk at the upper boundary of the Bank's standard consumer lending appetite.

Typical Reasons for Moving Into This Grade: Borrowers move into Grade F from Grade G as the most severe derogatory events age past the most acute observation window and no new derogatory activity has occurred.

Typical Reasons for Improving From This Grade: Borrowers improve from Grade F into Grade E through an extended period — typically 24 months or more — of clean repayment history following the most recent derogatory event, together with material deleveraging.

14.3.7 Grade G

Highest risk; decline is the standard outcome

Risk Parameter	Grade-Level Range
FICO Range	500–539
Debt-to-Income (DTI)	52%–60%
Revolving Utilization	95%–100%
Base Interest Rate (APR)	31.00%–36.00%
Modeled Probability of Default	32%–45%

Definition: Grade G designates applicants presenting the most severe risk profile evaluated by the Bank, typically combining multiple serious derogatory categories such as recent bankruptcy, active collections, and extreme leverage. Grade G represents the threshold of, and in most cases exceeds, the Bank's consumer lending risk appetite.

Overall Risk Level: Highest risk; decline is the standard outcome

Typical Borrower Characteristics: Grade G borrowers typically maintain FICO scores below 540, DTI ratios exceeding 52%, and a credit history reflecting severe, often concurrent financial distress, potentially including active judgments or liens.

Expected Credit Behaviour: Grade G accounts, where originated, have historically shown default incidence well in excess of any other grade; the Bank's overriding lending strategy for this grade is decline rather than approval.

Typical Income Stability: Severely impaired or unverifiable through standard documentation.

Typical Employment Profile: Frequently unstable or unverifiable; may include current unemployment or reliance on non-traditional income sources that cannot be independently confirmed.

Debt Characteristics: Extreme leverage, frequently at or near full utilization of all available revolving credit, combined with delinquent installment obligations.

Credit History Quality: Severely impaired. Typically includes recent bankruptcy (within 24 months), multiple active collection accounts, and/or judgments or tax liens.

Approval Confidence: Minimal. Approval is exceptional and requires Chief Credit Officer or delegated senior executive sign-off in addition to Credit Committee review.

Expected Default Risk: Severe — Bank-modeled probability of default for Grade G exceeds approximately 32.0% and may extend to 45.0% or more depending on the specific combination of derogatory factors present.

Pricing Philosophy: Priced at the maximum of the Bank's standard consumer lending rate card where lending is extended at all; in most cases this grade falls outside standard product eligibility entirely.

Interest Rate Strategy: Base rate band of approximately 31.00%–36.00% APR, representing the ceiling of the Bank's consumer lending rate structure.

Manual Review Requirements: Mandatory, highest-tier review requiring both Credit Committee and Chief Credit Officer or delegated senior executive approval; automated decisioning is never applied to this grade.

Monitoring Requirements: Maximum monitoring intensity equivalent to or exceeding Grade F, applied from the point of any exceptional approval through full repayment.

Recommended Lending Strategy: The Bank's standard lending strategy for Grade G is decline. Exception approval is reserved for rare cases involving full collateralization or another Board-approved risk transfer mechanism, and is not a routine underwriting outcome.

Business Example: An applicant with a 508 FICO score, an active wage garnishment, and a bankruptcy filed within the preceding 10 months applies for a personal loan. The application is declined in accordance with standard Grade G policy.

Real Banking Scenario: In the rare circumstance that a Grade G application is considered for exception approval, it is typically limited to a fully cash-secured lending product with the loan fully collateralized by funds on deposit with the Bank, eliminating unsecured exposure.

Comparison with Neighbouring Grades: Grade G represents the most severe end of the Bank's risk spectrum, immediately adjacent to Grade F. Unlike Grade F, Grade G applicants typically present multiple, concurrent severe derogatory categories rather than a single dominant negative factor, which is why exception approval is rarer still at Grade G than at Grade F.

Typical Reasons for Receiving This Grade: Applicants receive Grade G due to a combination of severe, often concurrent derogatory factors — such as recent bankruptcy combined with active collections and extreme leverage — that place expected default risk beyond the Bank's standard consumer lending appetite.

Typical Reasons for Moving Into This Grade: New-to-file applicants with severe derogatory histories are graded directly into G at origination; existing accounts rarely migrate downward into G from F except following a new, severe derogatory event such as a subsequent bankruptcy filing or charge-off.

Typical Reasons for Improving From This Grade: Borrowers improve from Grade G into Grade F only after the most severe derogatory events (e.g., bankruptcy) age past the most acute observation window, typically 24 months or more, combined with the absence of any further derogatory activity.

14.4. Sub-Grade Framework (A1–G5)

Thirty-five sub-grades refine the seven Primary Grades into a precise, continuous risk ordering. Within each Primary Grade, Sub-Grade 1 is the strongest position and Sub-Grade 5 is the weakest, bordering the next Primary Grade down.

The sub-grade boundaries below are derived directly from the Primary Grade risk-parameter ranges defined in Section 14.3, divided into five sequential bands per Grade. This ensures that sub-grade risk ordering is continuous both within a Primary Grade and across the boundary into the adjacent Primary Grade — for example, the upper bound of C5 risk characteristics abuts the lower bound of D1.

14.4.1 Grade A Sub-Grades (A1–A5)

Sub-Grade A1

Risk Parameter	Range
FICO Range	832–850
Debt-to-Income (DTI)	5%–7%
Revolving Utilization	0%–4%
Base Interest Rate (APR)	6.50%–7.00%
Modeled Probability of Default	0.4%–0.72%

Sub-Grade Definition: Sub-grade A1 identifies the front-of-grade (strongest) segment of Grade A. Applicants assigned A1 present a FICO score typically between 832 and 850, a debt-to-income ratio between 5% and 7%, and revolving utilization between 0% and 4%.

Position Within Parent Grade: Front-of-grade (strongest) of Grade A.

Relative Risk: A1 is considered modestly lower risk than A2; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative A1 applicant presents a FICO score near 841, a DTI near 6.0%, and revolving utilization near 2%, consistent with the front-of-grade (strongest) position within Grade A. Grade A borrowers typically maintain FICO scores of 760 and above, carry low revolving utilization, and have a long, unblemished credit history spanning multiple account types.

Strengths: Sits at the stronger end of Grade A: Exceptional credit depth, minimal leverage, and highly stable, verifiable income.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade A, though underwriters should still confirm: At the back of the grade (A4–A5), DTI and utilization approach levels that, combined with a shorter credit history, would place a borrower in Grade B.

Common Lending Concerns: Very limited — primary diligence point is confirming income documentation completeness.

Likelihood of Manual Review: Low — eligible for streamlined/automated approval in most cases

Approval Recommendation: Approve — standard terms

Pricing Recommendation: Rate positioned within 6.50%–7.00% APR, at the lower end of the Grade A rate band.

Monitoring Requirements: Consistent with Grade A monitoring policy (Section 14.3); accounts at A1 follow standard Grade A monitoring cadence.

Example Applicant: A representative A1 applicant presents a FICO score near 841, a DTI near 6.0%, and revolving utilization near 2%, consistent with the front-of-grade (strongest) position within Grade A.

Sub-Grade A2

Risk Parameter	Range
FICO Range	814–832
Debt-to-Income (DTI)	7%–9%
Revolving Utilization	4%–8%
Base Interest Rate (APR)	7.00%–7.50%
Modeled Probability of Default	0.72%–1.04%

Sub-Grade Definition: Sub-grade A2 identifies the upper-middle segment of Grade A. Applicants assigned A2 present a FICO score typically between 814 and 832, a debt-to-income ratio between 7% and 9%, and revolving utilization between 4% and 8%.

Position Within Parent Grade: Upper-middle of Grade A.

Relative Risk: A2 is considered modestly higher risk than A1, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade,

where applicable). A2 is considered modestly lower risk than A3; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative A2 applicant presents a FICO score near 823, a DTI near 8.0%, and revolving utilization near 6%, consistent with the upper-middle position within Grade A. Grade A borrowers typically maintain FICO scores of 760 and above, carry low revolving utilization, and have a long, unblemished credit history spanning multiple account types.

Strengths: Sits at the stronger end of Grade A: Exceptional credit depth, minimal leverage, and highly stable, verifiable income.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade A, though underwriters should still confirm: At the back of the grade (A4–A5), DTI and utilization approach levels that, combined with a shorter credit history, would place a borrower in Grade B.

Common Lending Concerns: Very limited — primary diligence point is confirming income documentation completeness.

Likelihood of Manual Review: Low — eligible for streamlined/automated approval in most cases

Approval Recommendation: Approve — standard terms

Pricing Recommendation: Rate positioned within 7.00%–7.50% APR, at the lower end of the Grade A rate band.

Monitoring Requirements: Consistent with Grade A monitoring policy (Section 14.3); accounts at A2 follow standard Grade A monitoring cadence.

Example Applicant: A representative A2 applicant presents a FICO score near 823, a DTI near 8.0%, and revolving utilization near 6%, consistent with the upper-middle position within Grade A.

Sub-Grade A3

Risk Parameter	Range
FICO Range	796–814
Debt-to-Income (DTI)	9%–11%
Revolving Utilization	8%–12%
Base Interest Rate (APR)	7.50%–8.00%
Modeled Probability of Default	1.04%–1.36%

Sub-Grade Definition: Sub-grade A3 identifies the core / typical segment of Grade A. Applicants assigned A3 present a FICO score typically between 796 and 814, a debt-to-income ratio between 9% and 11%, and revolving utilization between 8% and 12%.

Position Within Parent Grade: Core / typical of Grade A.

Relative Risk: A3 is considered modestly higher risk than A2, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). A3 is considered modestly lower risk than A4; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative A3 applicant presents a FICO score near 805, a DTI near 10.0%, and revolving utilization near 10%, consistent with the core / typical position within Grade A. Grade A borrowers typically maintain FICO scores of 760 and above, carry low revolving utilization, and have a long, unblemished credit history spanning multiple account types.

Strengths: Represents the typical, central risk profile of Grade A: Exceptional credit depth, minimal leverage, and highly stable, verifiable income.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade A, though underwriters should still confirm: At the back of the grade (A4–A5), DTI and utilization approach levels that, combined with a shorter credit history, would place a borrower in Grade B.

Common Lending Concerns: Very limited — primary diligence point is confirming income documentation completeness.

Likelihood of Manual Review: Low to Moderate — automated approval with standard document checks

Approval Recommendation: Approve — standard terms

Pricing Recommendation: Rate positioned within 7.50%–8.00% APR, at the middle end of the Grade A rate band.

Monitoring Requirements: Consistent with Grade A monitoring policy (Section 14.3); accounts at A3 follow standard Grade A monitoring cadence.

Example Applicant: A representative A3 applicant presents a FICO score near 805, a DTI near 10.0%, and revolving utilization near 10%, consistent with the core / typical position within Grade A.

Sub-Grade A4

Risk Parameter	Range
FICO Range	778–796
Debt-to-Income (DTI)	11%–13%
Revolving Utilization	12%–16%
Base Interest Rate (APR)	8.00%–8.50%
Modeled Probability of Default	1.36%–1.68%

Sub-Grade Definition: Sub-grade A4 identifies the lower-middle segment of Grade A. Applicants assigned A4 present a FICO score typically between 778 and 796, a debt-to-income ratio between 11% and 13%, and revolving utilization between 12% and 16%.

Position Within Parent Grade: Lower-middle of Grade A.

Relative Risk: A4 is considered modestly higher risk than A3, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). A4 is considered modestly lower risk than A5; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative A4 applicant presents a FICO score near 787, a DTI near 12.0%, and revolving utilization near 14%, consistent with the lower-middle position within Grade A. Grade A borrowers typically maintain FICO scores of 760 and above, carry low revolving utilization, and have a long, unblemished credit history spanning multiple account types.

Strengths: Retains the core characteristics of Grade A approval eligibility, though with reduced margin: Exceptional credit depth, minimal leverage, and highly stable, verifiable income.

Weaknesses: Sits at the weaker end of Grade A: At the back of the grade (A4–A5), DTI and utilization approach levels that, combined with a shorter credit history, would place a borrower in Grade B.

Common Lending Concerns: Very limited — primary diligence point is confirming income documentation completeness.

Likelihood of Manual Review: Low to Moderate — automated approval with standard document checks

Approval Recommendation: Approve — standard terms, confirm income documentation

Pricing Recommendation: Rate positioned within 8.00%–8.50% APR, at the upper end of the Grade A rate band.

Monitoring Requirements: Consistent with Grade A monitoring policy (Section 14.3); accounts at A4 receive the closer end of the grade's monitoring cadence given proximity to the next risk tier.

Example Applicant: A representative A4 applicant presents a FICO score near 787, a DTI near 12.0%, and revolving utilization near 14%, consistent with the lower-middle position within Grade A.

Sub-Grade A5

Risk Parameter	Range
FICO Range	760–778
Debt-to-Income (DTI)	13%–15%
Revolving Utilization	16%–20%
Base Interest Rate (APR)	8.50%–9.00%
Modeled Probability of Default	1.68%–2%

Sub-Grade Definition: Sub-grade A5 identifies the back-of-grade (weakest, borders the next grade down) segment of Grade A. Applicants assigned A5 present a FICO score typically between 760 and 778, a debt-to-income ratio between 13% and 15%, and revolving utilization between 16% and 20%.

Position Within Parent Grade: Back-of-grade (weakest, borders the next grade down) of Grade A.

Relative Risk: A5 is considered modestly higher risk than A4, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). A5 is considered modestly lower risk than B1; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative A5 applicant presents a FICO score near 769, a DTI near 14.0%, and revolving utilization near 18%, consistent with the back-of-grade (weakest, borders the next grade down) position within Grade A. Grade A borrowers typically maintain FICO scores of 760 and above, carry low revolving utilization, and have a long, unblemished credit history spanning multiple account types.

Strengths: Retains the core characteristics of Grade A approval eligibility, though with reduced margin: Exceptional credit depth, minimal leverage, and highly stable, verifiable income.

Weaknesses: Sits at the weaker end of Grade A: At the back of the grade (A4–A5), DTI and utilization approach levels that, combined with a shorter credit history, would place a borrower in Grade B.

Common Lending Concerns: Very limited — primary diligence point is confirming income documentation completeness.

Likelihood of Manual Review: Low to Moderate — automated approval with standard document checks

Approval Recommendation: Approve — standard terms, confirm income documentation

Pricing Recommendation: Rate positioned within 8.50%–9.00% APR, at the upper end of the Grade A rate band.

Monitoring Requirements: Consistent with Grade A monitoring policy (Section 14.3); accounts at A5 receive the closer end of the grade's monitoring cadence given proximity to the next risk tier.

Example Applicant: A representative A5 applicant presents a FICO score near 769, a DTI near 14.0%, and revolving utilization near 18%, consistent with the back-of-grade (weakest, borders the next grade down) position within Grade A.

14.4.2 Grade B Sub-Grades (B1–B5)

Sub-Grade B1

Risk Parameter	Range
FICO Range	747–759
Debt-to-Income (DTI)	15%–16.4%
Revolving Utilization	15%–20%
Base Interest Rate (APR)	9.00%–9.70%
Modeled Probability of Default	2%–2.6%

Sub-Grade Definition: Sub-grade B1 identifies the front-of-grade (strongest) segment of Grade B. Applicants assigned B1 present a FICO score typically between 747 and 759, a debt-to-income ratio between 15% and 16.4%, and revolving utilization between 15% and 20%.

Position Within Parent Grade: Front-of-grade (strongest) of Grade B.

Relative Risk: B1 is considered modestly higher risk than A5, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). B1 is considered modestly lower risk than B2; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category. Despite sitting at the front of Grade B, B1 remains higher risk than every sub-grade of Grade A, including A5 — Primary Grade boundaries are calibrated so that the weakest sub-grade of a stronger letter grade is never riskier than the strongest sub-grade of the next letter grade down.

Typical Borrower Profile: A representative B1 applicant presents a FICO score near 753, a DTI near 15.7%, and revolving utilization near 18%, consistent with the front-of-grade (strongest) position within Grade B. Grade B borrowers typically maintain FICO scores between 700 and 759, DTI ratios between 15% and 22%, and a solid though not extensive credit history.

Strengths: Sits at the stronger end of Grade B: Solid credit history and manageable leverage with no material recent derogatory activity.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade B, though underwriters should still confirm: Back-of-grade positions (B4–B5) show DTI and utilization approaching near-prime territory, and credit history depth may be comparatively thin.

Common Lending Concerns: Underwriters should confirm employment stability and validate that any dated derogatory marks are fully resolved.

Likelihood of Manual Review: Low — eligible for streamlined/automated approval in most cases

Approval Recommendation: Approve — standard terms

Pricing Recommendation: Rate positioned within 9.00%–9.70% APR, at the lower end of the Grade B rate band.

Monitoring Requirements: Consistent with Grade B monitoring policy (Section 14.3); accounts at B1 follow standard Grade B monitoring cadence.

Example Applicant: A representative B1 applicant presents a FICO score near 753, a DTI near 15.7%, and revolving utilization near 18%, consistent with the front-of-grade (strongest) position within Grade B.

Sub-Grade B2

Risk Parameter	Range
FICO Range	735–747
Debt-to-Income (DTI)	16.4%–17.8%
Revolving Utilization	20%–25%
Base Interest Rate (APR)	9.70%–10.40%
Modeled Probability of Default	2.6%–3.2%

Sub-Grade Definition: Sub-grade B2 identifies the upper-middle segment of Grade B. Applicants assigned B2 present a FICO score typically between 735 and 747, a debt-to-income ratio between 16.4% and 17.8%, and revolving utilization between 20% and 25%.

Position Within Parent Grade: Upper-middle of Grade B.

Relative Risk: B2 is considered modestly higher risk than B1, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). B2 is considered modestly lower risk than B3; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative B2 applicant presents a FICO score near 741, a DTI near 17.1%, and revolving utilization near 23%, consistent with the upper-middle position within Grade B. Grade B borrowers typically maintain FICO scores between 700 and 759, DTI ratios between 15% and 22%, and a solid though not extensive credit history.

Strengths: Sits at the stronger end of Grade B: Solid credit history and manageable leverage with no material recent derogatory activity.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade B, though underwriters should still confirm: Back-of-grade positions (B4–B5) show DTI and utilization approaching near-prime territory, and credit history depth may be comparatively thin.

Common Lending Concerns: Underwriters should confirm employment stability and validate that any dated derogatory marks are fully resolved.

Likelihood of Manual Review: Low — eligible for streamlined/automated approval in most cases

Approval Recommendation: Approve — standard terms

Pricing Recommendation: Rate positioned within 9.70%–10.40% APR, at the lower end of the Grade B rate band.

Monitoring Requirements: Consistent with Grade B monitoring policy (Section 14.3); accounts at B2 follow standard Grade B monitoring cadence.

Example Applicant: A representative B2 applicant presents a FICO score near 741, a DTI near 17.1%, and revolving utilization near 23%, consistent with the upper-middle position within Grade B.

Sub-Grade B3

Risk Parameter	Range
FICO Range	724–735
Debt-to-Income (DTI)	17.8%–19.2%
Revolving Utilization	25%–30%
Base Interest Rate (APR)	10.40%–11.10%
Modeled Probability of Default	3.2%–3.8%

Sub-Grade Definition: Sub-grade B3 identifies the core / typical segment of Grade B. Applicants assigned B3 present a FICO score typically between 724 and 735, a debt-to-income ratio between 17.8% and 19.2%, and revolving utilization between 25% and 30%.

Position Within Parent Grade: Core / typical of Grade B.

Relative Risk: B3 is considered modestly higher risk than B2, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). B3 is considered modestly lower risk than B4; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative B3 applicant presents a FICO score near 730, a DTI near 18.5%, and revolving utilization near 28%, consistent with the core / typical position within Grade B. Grade B borrowers typically maintain FICO scores between 700 and 759, DTI ratios between 15% and 22%, and a solid though not extensive credit history.

Strengths: Represents the typical, central risk profile of Grade B: Solid credit history and manageable leverage with no material recent derogatory activity.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade B, though underwriters should still confirm: Back-of-grade positions (B4–B5) show DTI and utilization approaching near-prime territory, and credit history depth may be comparatively thin.

Common Lending Concerns: Underwriters should confirm employment stability and validate that any dated derogatory marks are fully resolved.

Likelihood of Manual Review: Low to Moderate — automated approval with standard document checks

Approval Recommendation: Approve — standard terms

Pricing Recommendation: Rate positioned within 10.40%–11.10% APR, at the middle end of the Grade B rate band.

Monitoring Requirements: Consistent with Grade B monitoring policy (Section 14.3); accounts at B3 follow standard Grade B monitoring cadence.

Example Applicant: A representative B3 applicant presents a FICO score near 730, a DTI near 18.5%, and revolving utilization near 28%, consistent with the core / typical position within Grade B.

Sub-Grade B4

Risk Parameter	Range
FICO Range	712–724
Debt-to-Income (DTI)	19.2%–20.6%
Revolving Utilization	30%–35%
Base Interest Rate (APR)	11.10%–11.80%
Modeled Probability of Default	3.8%–4.4%

Sub-Grade Definition: Sub-grade B4 identifies the lower-middle segment of Grade B. Applicants assigned B4 present a FICO score typically between 712 and 724, a debt-to-income ratio between 19.2% and 20.6%, and revolving utilization between 30% and 35%.

Position Within Parent Grade: Lower-middle of Grade B.

Relative Risk: B4 is considered modestly higher risk than B3, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). B4 is considered modestly lower risk than B5; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative B4 applicant presents a FICO score near 718, a DTI near 19.9%, and revolving utilization near 33%, consistent with the lower-middle position within Grade B. Grade B borrowers typically maintain FICO scores between 700 and 759, DTI ratios between 15% and 22%, and a solid though not extensive credit history.

Strengths: Retains the core characteristics of Grade B approval eligibility, though with reduced margin: Solid credit history and manageable leverage with no material recent derogatory activity.

Weaknesses: Sits at the weaker end of Grade B: Back-of-grade positions (B4–B5) show DTI and utilization approaching near-prime territory, and credit history depth may be comparatively thin.

Common Lending Concerns: Underwriters should confirm employment stability and validate that any dated derogatory marks are fully resolved.

Likelihood of Manual Review: Low to Moderate — automated approval with standard document checks

Approval Recommendation: Conditional approval — verify DTI and employment stability

Pricing Recommendation: Rate positioned within 11.10%–11.80% APR, at the upper end of the Grade B rate band.

Monitoring Requirements: Consistent with Grade B monitoring policy (Section 14.3); accounts at B4 receive the closer end of the grade's monitoring cadence given proximity to the next risk tier.

Example Applicant: A representative B4 applicant presents a FICO score near 718, a DTI near 19.9%, and revolving utilization near 33%, consistent with the lower-middle position within Grade B.

Sub-Grade B5

Risk Parameter	Range
FICO Range	700–712
Debt-to-Income (DTI)	20.6%–22%
Revolving Utilization	35%–40%

Risk Parameter	Range
Base Interest Rate (APR)	11.80%–12.50%
Modeled Probability of Default	4.4%–5%

Sub-Grade Definition: Sub-grade B5 identifies the back-of-grade (weakest, borders the next grade down) segment of Grade B. Applicants assigned B5 present a FICO score typically between 700 and 712, a debt-to-income ratio between 20.6% and 22%, and revolving utilization between 35% and 40%.

Position Within Parent Grade: Back-of-grade (weakest, borders the next grade down) of Grade B.

Relative Risk: B5 is considered modestly higher risk than B4, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). B5 is considered modestly lower risk than C1; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative B5 applicant presents a FICO score near 706, a DTI near 21.3%, and revolving utilization near 38%, consistent with the back-of-grade (weakest, borders the next grade down) position within Grade B. Grade B borrowers typically maintain FICO scores between 700 and 759, DTI ratios between 15% and 22%, and a solid though not extensive credit history.

Strengths: Retains the core characteristics of Grade B approval eligibility, though with reduced margin: Solid credit history and manageable leverage with no material recent derogatory activity.

Weaknesses: Sits at the weaker end of Grade B: Back-of-grade positions (B4–B5) show DTI and utilization approaching near-prime territory, and credit history depth may be comparatively thin.

Common Lending Concerns: Underwriters should confirm employment stability and validate that any dated derogatory marks are fully resolved.

Likelihood of Manual Review: Low to Moderate — automated approval with standard document checks

Approval Recommendation: Conditional approval — verify DTI and employment stability

Pricing Recommendation: Rate positioned within 11.80%–12.50% APR, at the upper end of the Grade B rate band.

Monitoring Requirements: Consistent with Grade B monitoring policy (Section 14.3); accounts at B5 receive the closer end of the grade's monitoring cadence given proximity to the next risk tier.

Example Applicant: A representative B5 applicant presents a FICO score near 706, a DTI near 21.3%, and revolving utilization near 38%, consistent with the back-of-grade (weakest, borders the next grade down) position within Grade B.

14.4.3 Grade C Sub-Grades (C1–C5)

Sub-Grade C1

Risk Parameter	Range
FICO Range	691–699
Debt-to-Income (DTI)	22%–23.6%
Revolving Utilization	35%–40%
Base Interest Rate (APR)	12.50%–13.30%
Modeled Probability of Default	5%–5.8%

Sub-Grade Definition: Sub-grade C1 identifies the front-of-grade (strongest) segment of Grade C. Applicants assigned C1 present a FICO score typically between 691 and 699, a debt-to-income ratio between 22% and 23.6%, and revolving utilization between 35% and 40%.

Position Within Parent Grade: Front-of-grade (strongest) of Grade C.

Relative Risk: C1 is considered modestly higher risk than B5, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). C1 is considered modestly lower risk than C2; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category. Despite sitting at the front of Grade C, C1 remains higher risk than every sub-grade of Grade B, including B5 — Primary Grade boundaries are calibrated so that the weakest sub-grade of a stronger letter grade is never riskier than the strongest sub-grade of the next letter grade down.

Typical Borrower Profile: A representative C1 applicant presents a FICO score near 695, a DTI near 22.8%, and revolving utilization near 38%, consistent with the front-of-grade (strongest) position within Grade C. Grade C borrowers typically maintain FICO scores between 660 and 699, DTI ratios between 22% and 30%, and a credit history of moderate depth.

Strengths: Sits at the stronger end of Grade C: Acceptable, serviceable credit profile with generally manageable obligations.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade C, though underwriters should still confirm: Elevated DTI and utilization, and — particularly at C4–C5 — a higher likelihood of a delinquency within the preceding 24 months.

Common Lending Concerns: Underwriters should scrutinize the trend (improving vs. deteriorating) in utilization and payment history, not just the current snapshot.

Likelihood of Manual Review: Moderate — standard manual underwriter review

Approval Recommendation: Conditional approval — standard conditions

Pricing Recommendation: Rate positioned within 12.50%–13.30% APR, at the lower end of the Grade C rate band.

Monitoring Requirements: Consistent with Grade C monitoring policy (Section 14.3); accounts at C1 follow standard Grade C monitoring cadence.

Example Applicant: A representative C1 applicant presents a FICO score near 695, a DTI near 22.8%, and revolving utilization near 38%, consistent with the front-of-grade (strongest) position within Grade C.

Sub-Grade C2

Risk Parameter	Range
FICO Range	683–691
Debt-to-Income (DTI)	23.6%–25.2%
Revolving Utilization	40%–45%
Base Interest Rate (APR)	13.30%–14.10%
Modeled Probability of Default	5.8%–6.6%

Sub-Grade Definition: Sub-grade C2 identifies the upper-middle segment of Grade C. Applicants assigned C2 present a FICO score typically between 683 and 691, a debt-to-income ratio between 23.6% and 25.2%, and revolving utilization between 40% and 45%.

Position Within Parent Grade: Upper-middle of Grade C.

Relative Risk: C2 is considered modestly higher risk than C1, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). C2 is considered modestly lower risk than C3; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative C2 applicant presents a FICO score near 687, a DTI near 24.4%, and revolving utilization near 43%, consistent with the upper-middle position within Grade C. Grade C borrowers typically maintain FICO scores between 660 and 699, DTI ratios between 22% and 30%, and a credit history of moderate depth.

Strengths: Sits at the stronger end of Grade C: Acceptable, serviceable credit profile with generally manageable obligations.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade C, though underwriters should still confirm: Elevated DTI and utilization, and — particularly at C4–C5 — a higher likelihood of a delinquency within the preceding 24 months.

Common Lending Concerns: Underwriters should scrutinize the trend (improving vs. deteriorating) in utilization and payment history, not just the current snapshot.

Likelihood of Manual Review: Moderate — standard manual underwriter review

Approval Recommendation: Conditional approval — standard conditions

Pricing Recommendation: Rate positioned within 13.30%–14.10% APR, at the lower end of the Grade C rate band.

Monitoring Requirements: Consistent with Grade C monitoring policy (Section 14.3); accounts at C2 follow standard Grade C monitoring cadence.

Example Applicant: A representative C2 applicant presents a FICO score near 687, a DTI near 24.4%, and revolving utilization near 43%, consistent with the upper-middle position within Grade C.

Sub-Grade C3

Risk Parameter	Range
FICO Range	676–683
Debt-to-Income (DTI)	25.2%–26.8%
Revolving Utilization	45%–50%
Base Interest Rate (APR)	14.10%–14.90%
Modeled Probability of Default	6.6%–7.4%

Sub-Grade Definition: Sub-grade C3 identifies the core / typical segment of Grade C. Applicants assigned C3 present a FICO score typically between 676 and 683, a debt-to-income ratio between 25.2% and 26.8%, and revolving utilization between 45% and 50%.

Position Within Parent Grade: Core / typical of Grade C.

Relative Risk: C3 is considered modestly higher risk than C2, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). C3 is considered modestly lower risk than C4; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative C3 applicant presents a FICO score near 680, a DTI near 26.0%, and revolving utilization near 48%, consistent with the core / typical position within Grade C. Grade C borrowers typically maintain FICO scores between 660 and 699, DTI ratios between 22% and 30%, and a credit history of moderate depth.

Strengths: Represents the typical, central risk profile of Grade C: Acceptable, serviceable credit profile with generally manageable obligations.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade C, though underwriters should still confirm: Elevated DTI and utilization, and — particularly at C4–C5 — a higher likelihood of a delinquency within the preceding 24 months.

Common Lending Concerns: Underwriters should scrutinize the trend (improving vs. deteriorating) in utilization and payment history, not just the current snapshot.

Likelihood of Manual Review: Moderate — standard manual underwriter review

Approval Recommendation: Conditional approval — enhanced conditions, may require compensating factors

Pricing Recommendation: Rate positioned within 14.10%–14.90% APR, at the middle end of the Grade C rate band.

Monitoring Requirements: Consistent with Grade C monitoring policy (Section 14.3); accounts at C3 follow standard Grade C monitoring cadence.

Example Applicant: A representative C3 applicant presents a FICO score near 680, a DTI near 26.0%, and revolving utilization near 48%, consistent with the core / typical position within Grade C.

Sub-Grade C4

Risk Parameter	Range
FICO Range	668–676
Debt-to-Income (DTI)	26.8%–28.4%
Revolving Utilization	50%–55%
Base Interest Rate (APR)	14.90%–15.70%
Modeled Probability of Default	7.4%–8.2%

Sub-Grade Definition: Sub-grade C4 identifies the lower-middle segment of Grade C. Applicants assigned C4 present a FICO score typically between 668 and 676, a debt-to-income ratio between 26.8% and 28.4%, and revolving utilization between 50% and 55%.

Position Within Parent Grade: Lower-middle of Grade C.

Relative Risk: C4 is considered modestly higher risk than C3, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). C4 is considered modestly lower risk than C5; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative C4 applicant presents a FICO score near 672, a DTI near 27.6%, and revolving utilization near 53%, consistent with the lower-middle position within Grade C. Grade C borrowers typically maintain FICO scores between 660 and 699, DTI ratios between 22% and 30%, and a credit history of moderate depth.

Strengths: Retains the core characteristics of Grade C approval eligibility, though with reduced margin: Acceptable, serviceable credit profile with generally manageable obligations.

Weaknesses: Sits at the weaker end of Grade C: Elevated DTI and utilization, and — particularly at C4–C5 — a higher likelihood of a delinquency within the preceding 24 months.

Common Lending Concerns: Underwriters should scrutinize the trend (improving vs. deteriorating) in utilization and payment history, not just the current snapshot.

Likelihood of Manual Review: Moderate to High — underwriter review with attention to compensating factors

Approval Recommendation: Conditional approval — enhanced conditions, may require compensating factors

Pricing Recommendation: Rate positioned within 14.90%–15.70% APR, at the upper end of the Grade C rate band.

Monitoring Requirements: Consistent with Grade C monitoring policy (Section 14.3); accounts at C4 receive the closer end of the grade's monitoring cadence given proximity to the next risk tier.

Example Applicant: A representative C4 applicant presents a FICO score near 672, a DTI near 27.6%, and revolving utilization near 53%, consistent with the lower-middle position within Grade C.

Sub-Grade C5

Risk Parameter	Range
FICO Range	660–668
Debt-to-Income (DTI)	28.4%–30%
Revolving Utilization	55%–60%

Risk Parameter	Range
Base Interest Rate (APR)	15.70%–16.50%
Modeled Probability of Default	8.2%–9%

Sub-Grade Definition: Sub-grade C5 identifies the back-of-grade (weakest, borders the next grade down) segment of Grade C. Applicants assigned C5 present a FICO score typically between 660 and 668, a debt-to-income ratio between 28.4% and 30%, and revolving utilization between 55% and 60%.

Position Within Parent Grade: Back-of-grade (weakest, borders the next grade down) of Grade C.

Relative Risk: C5 is considered modestly higher risk than C4, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). C5 is considered modestly lower risk than D1; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative C5 applicant presents a FICO score near 664, a DTI near 29.2%, and revolving utilization near 58%, consistent with the back-of-grade (weakest, borders the next grade down) position within Grade C. Grade C borrowers typically maintain FICO scores between 660 and 699, DTI ratios between 22% and 30%, and a credit history of moderate depth.

Strengths: Retains the core characteristics of Grade C approval eligibility, though with reduced margin: Acceptable, serviceable credit profile with generally manageable obligations.

Weaknesses: Sits at the weaker end of Grade C: Elevated DTI and utilization, and — particularly at C4–C5 — a higher likelihood of a delinquency within the preceding 24 months.

Common Lending Concerns: Underwriters should scrutinize the trend (improving vs. deteriorating) in utilization and payment history, not just the current snapshot.

Likelihood of Manual Review: Moderate to High — underwriter review with attention to compensating factors

Approval Recommendation: Conditional approval — enhanced conditions, may require compensating factors

Pricing Recommendation: Rate positioned within 15.70%–16.50% APR, at the upper end of the Grade C rate band.

Monitoring Requirements: Consistent with Grade C monitoring policy (Section 14.3); accounts at C5 receive the closer end of the grade's monitoring cadence given proximity to the next risk tier.

Example Applicant: A representative C5 applicant presents a FICO score near 664, a DTI near 29.2%, and revolving utilization near 58%, consistent with the back-of-grade (weakest, borders the next grade down) position within Grade C.

14.4.4 Grade D Sub-Grades (D1–D5)

Sub-Grade D1

Risk Parameter	Range
FICO Range	651–659
Debt-to-Income (DTI)	30%–31.6%
Revolving Utilization	55%–59%
Base Interest Rate (APR)	16.50%–17.40%
Modeled Probability of Default	9%–10.2%

Sub-Grade Definition: Sub-grade D1 identifies the front-of-grade (strongest) segment of Grade D. Applicants assigned D1 present a FICO score typically between 651 and 659, a debt-to-income ratio between 30% and 31.6%, and revolving utilization between 55% and 59%.

Position Within Parent Grade: Front-of-grade (strongest) of Grade D.

Relative Risk: D1 is considered modestly higher risk than C5, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). D1 is considered modestly lower risk than D2; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category. Despite sitting at the front of Grade D, D1 remains higher risk than every sub-grade of Grade C, including C5 — Primary Grade boundaries are calibrated so that the weakest sub-grade of a stronger letter grade is never riskier than the strongest sub-grade of the next letter grade down.

Typical Borrower Profile: A representative D1 applicant presents a FICO score near 655, a DTI near 30.8%, and revolving utilization near 57%, consistent with the front-of-grade (strongest) position within Grade D. Grade D borrowers typically maintain FICO scores between 620 and 659, DTI ratios between 30% and 38%, and a credit history that includes delinquency within the preceding 12 to 24 months..

Strengths: Sits at the stronger end of Grade D: Demonstrated capacity to service debt despite an elevated risk profile; often includes borrowers actively rebuilding credit.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade D, though underwriters should still confirm: High leverage and more recent derogatory history, worsening toward D4–D5 where recent delinquency is common.

Common Lending Concerns: Income verification is critical; compensating factors should be explicitly documented in the loan file.

Likelihood of Manual Review: High — mandatory manual underwriting review

Approval Recommendation: Manual review — approval possible with strong compensating factors

Pricing Recommendation: Rate positioned within 16.50%–17.40% APR, at the lower end of the Grade D rate band.

Monitoring Requirements: Consistent with Grade D monitoring policy (Section 14.3); accounts at D1 follow standard Grade D monitoring cadence.

Example Applicant: A representative D1 applicant presents a FICO score near 655, a DTI near 30.8%, and revolving utilization near 57%, consistent with the front-of-grade (strongest) position within Grade D.

Sub-Grade D2

Risk Parameter	Range
FICO Range	643–651
Debt-to-Income (DTI)	31.6%–33.2%
Revolving Utilization	59%–63%
Base Interest Rate (APR)	17.40%–18.30%
Modeled Probability of Default	10.2%–11.4%

Sub-Grade Definition: Sub-grade D2 identifies the upper-middle segment of Grade D. Applicants assigned D2 present a FICO score typically between 643 and 651, a debt-to-income ratio between 31.6% and 33.2%, and revolving utilization between 59% and 63%.

Position Within Parent Grade: Upper-middle of Grade D.

Relative Risk: D2 is considered modestly higher risk than D1, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). D2 is considered modestly lower risk than D3; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative D2 applicant presents a FICO score near 647, a DTI near 32.4%, and revolving utilization near 61%, consistent with the upper-middle position within Grade D. Grade D borrowers typically maintain FICO scores between 620 and 659, DTI ratios between 30% and 38%, and a credit history that includes delinquency within the preceding 12 to 24 months..

Strengths: Sits at the stronger end of Grade D: Demonstrated capacity to service debt despite an elevated risk profile; often includes borrowers actively rebuilding credit.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade D, though underwriters should still confirm: High leverage and more recent derogatory history, worsening toward D4–D5 where recent delinquency is common.

Common Lending Concerns: Income verification is critical; compensating factors should be explicitly documented in the loan file.

Likelihood of Manual Review: High — mandatory manual underwriting review

Approval Recommendation: Manual review — approval possible with strong compensating factors

Pricing Recommendation: Rate positioned within 17.40%–18.30% APR, at the lower end of the Grade D rate band.

Monitoring Requirements: Consistent with Grade D monitoring policy (Section 14.3); accounts at D2 follow standard Grade D monitoring cadence.

Example Applicant: A representative D2 applicant presents a FICO score near 647, a DTI near 32.4%, and revolving utilization near 61%, consistent with the upper-middle position within Grade D.

Sub-Grade D3

Risk Parameter	Range
FICO Range	636–643
Debt-to-Income (DTI)	33.2%–34.8%
Revolving Utilization	63%–67%
Base Interest Rate (APR)	18.30%–19.20%
Modeled Probability of Default	11.4%–12.6%

Sub-Grade Definition: Sub-grade D3 identifies the core / typical segment of Grade D. Applicants assigned D3 present a FICO score typically between 636 and 643, a debt-to-income ratio between 33.2% and 34.8%, and revolving utilization between 63% and 67%.

Position Within Parent Grade: Core / typical of Grade D.

Relative Risk: D3 is considered modestly higher risk than D2, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). D3 is considered modestly lower risk than D4; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative D3 applicant presents a FICO score near 640, a DTI near 34.0%, and revolving utilization near 65%, consistent with the core / typical position within Grade D. Grade D borrowers typically maintain FICO scores between 620 and 659, DTI ratios between 30% and 38%, and a credit history that includes delinquency within the preceding 12 to 24 months..

Strengths: Represents the typical, central risk profile of Grade D: Demonstrated capacity to service debt despite an elevated risk profile; often includes borrowers actively rebuilding credit.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade D, though underwriters should still confirm: High leverage and more recent derogatory history, worsening toward D4–D5 where recent delinquency is common.

Common Lending Concerns: Income verification is critical; compensating factors should be explicitly documented in the loan file.

Likelihood of Manual Review: High — mandatory manual underwriting review

Approval Recommendation: Manual review — approval likely only with significant compensating factors or reduced loan amount

Pricing Recommendation: Rate positioned within 18.30%–19.20% APR, at the middle end of the Grade D rate band.

Monitoring Requirements: Consistent with Grade D monitoring policy (Section 14.3); accounts at D3 follow standard Grade D monitoring cadence.

Example Applicant: A representative D3 applicant presents a FICO score near 640, a DTI near 34.0%, and revolving utilization near 65%, consistent with the core / typical position within Grade D.

Sub-Grade D4

Risk Parameter	Range
FICO Range	628–636
Debt-to-Income (DTI)	34.8%–36.4%
Revolving Utilization	67%–71%
Base Interest Rate (APR)	19.20%–20.10%
Modeled Probability of Default	12.6%–13.8%

Sub-Grade Definition: Sub-grade D4 identifies the lower-middle segment of Grade D. Applicants assigned D4 present a FICO score typically between 628 and 636, a debt-to-income ratio between 34.8% and 36.4%, and revolving utilization between 67% and 71%.

Position Within Parent Grade: Lower-middle of Grade D.

Relative Risk: D4 is considered modestly higher risk than D3, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). D4 is considered modestly lower risk than D5; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative D4 applicant presents a FICO score near 632, a DTI near 35.6%, and revolving utilization near 69%, consistent with the lower-middle position within Grade D. Grade D borrowers typically maintain FICO scores between 620 and 659, DTI ratios between 30% and 38%, and a credit history that includes delinquency within the preceding 12 to 24 months..

Strengths: Retains the core characteristics of Grade D approval eligibility, though with reduced margin: Demonstrated capacity to service debt despite an elevated risk profile; often includes borrowers actively rebuilding credit.

Weaknesses: Sits at the weaker end of Grade D: High leverage and more recent derogatory history, worsening toward D4–D5 where recent delinquency is common.

Common Lending Concerns: Income verification is critical; compensating factors should be explicitly documented in the loan file.

Likelihood of Manual Review: High — mandatory manual underwriting review

Approval Recommendation: Manual review — approval likely only with significant compensating factors or reduced loan amount

Pricing Recommendation: Rate positioned within 19.20%–20.10% APR, at the upper end of the Grade D rate band.

Monitoring Requirements: Consistent with Grade D monitoring policy (Section 14.3); accounts at D4 receive the closer end of the grade's monitoring cadence given proximity to the next risk tier.

Example Applicant: A representative D4 applicant presents a FICO score near 632, a DTI near 35.6%, and revolving utilization near 69%, consistent with the lower-middle position within Grade D.

Sub-Grade D5

Risk Parameter	Range
FICO Range	620–628

Risk Parameter	Range
Debt-to-Income (DTI)	36.4%–38%
Revolving Utilization	71%–75%
Base Interest Rate (APR)	20.10%–21.00%
Modeled Probability of Default	13.8%–15%

Sub-Grade Definition: Sub-grade D5 identifies the back-of-grade (weakest, borders the next grade down) segment of Grade D. Applicants assigned D5 present a FICO score typically between 620 and 628, a debt-to-income ratio between 36.4% and 38%, and revolving utilization between 71% and 75%.

Position Within Parent Grade: Back-of-grade (weakest, borders the next grade down) of Grade D.

Relative Risk: D5 is considered modestly higher risk than D4, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). D5 is considered modestly lower risk than E1; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative D5 applicant presents a FICO score near 624, a DTI near 37.2%, and revolving utilization near 73%, consistent with the back-of-grade (weakest, borders the next grade down) position within Grade D. Grade D borrowers typically maintain FICO scores between 620 and 659, DTI ratios between 30% and 38%, and a credit history that includes delinquency within the preceding 12 to 24 months..

Strengths: Retains the core characteristics of Grade D approval eligibility, though with reduced margin: Demonstrated capacity to service debt despite an elevated risk profile; often includes borrowers actively rebuilding credit.

Weaknesses: Sits at the weaker end of Grade D: High leverage and more recent derogatory history, worsening toward D4–D5 where recent delinquency is common.

Common Lending Concerns: Income verification is critical; compensating factors should be explicitly documented in the loan file.

Likelihood of Manual Review: High — mandatory manual underwriting review

Approval Recommendation: Manual review — approval likely only with significant compensating factors or reduced loan amount

Pricing Recommendation: Rate positioned within 20.10%–21.00% APR, at the upper end of the Grade D rate band.

Monitoring Requirements: Consistent with Grade D monitoring policy (Section 14.3); accounts at D5 receive the closer end of the grade's monitoring cadence given proximity to the next risk tier.

Example Applicant: A representative D5 applicant presents a FICO score near 624, a DTI near 37.2%, and revolving utilization near 73%, consistent with the back-of-grade (weakest, borders the next grade down) position within Grade D.

14.4.5 Grade E Sub-Grades (E1–E5)

Sub-Grade E1

Risk Parameter	Range
FICO Range	611–619
Debt-to-Income (DTI)	38%–39.4%
Revolving Utilization	70%–74%
Base Interest Rate (APR)	21.00%–22.00%
Modeled Probability of Default	15%–16.6%

Sub-Grade Definition: Sub-grade E1 identifies the front-of-grade (strongest) segment of Grade E. Applicants assigned E1 present a FICO score typically between 611 and 619, a debt-to-income ratio between 38% and 39.4%, and revolving utilization between 70% and 74%.

Position Within Parent Grade: Front-of-grade (strongest) of Grade E.

Relative Risk: E1 is considered modestly higher risk than D5, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). E1 is considered modestly lower risk than E2; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category. Despite sitting at the front of Grade E, E1 remains higher risk than every sub-grade of Grade D, including D5 — Primary Grade boundaries are calibrated so that the weakest sub-grade of a stronger letter grade is never riskier than the strongest sub-grade of the next letter grade down.

Typical Borrower Profile: A representative E1 applicant presents a FICO score near 615, a DTI near 38.7%, and revolving utilization near 72%, consistent with the front-of-grade (strongest) position within Grade E. Grade E borrowers typically maintain FICO scores between 580 and 619, DTI ratios between 38% and 45%, and a credit history that may include a discharged bankruptcy older than 48 months or multiple recent delinquencies..

Strengths: Sits at the stronger end of Grade E: Some borrowers in this grade are past the acute phase of a prior financial setback and show early signs of recovery.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade E, though underwriters should still confirm: Very high leverage and a credit history with multiple or severe recent derogatory events, most pronounced at E4–E5.

Common Lending Concerns: Approval should not proceed without a clearly documented compensating factor (co-signer, collateral, or materially reduced exposure).

Likelihood of Manual Review: Very High — mandatory senior underwriter or credit committee review

Approval Recommendation: Enhanced review — approval only with strong compensating factors and risk-based pricing

Pricing Recommendation: Rate positioned within 21.00%–22.00% APR, at the lower end of the Grade E rate band.

Monitoring Requirements: Consistent with Grade E monitoring policy (Section 14.3); accounts at E1 follow standard Grade E monitoring cadence.

Example Applicant: A representative E1 applicant presents a FICO score near 615, a DTI near 38.7%, and revolving utilization near 72%, consistent with the front-of-grade (strongest) position within Grade E.

Sub-Grade E2

Risk Parameter	Range
FICO Range	603–611
Debt-to-Income (DTI)	39.4%–40.8%
Revolving Utilization	74%–78%
Base Interest Rate (APR)	22.00%–23.00%
Modeled Probability of Default	16.6%–18.2%

Sub-Grade Definition: Sub-grade E2 identifies the upper-middle segment of Grade E. Applicants assigned E2 present a FICO score typically between 603 and 611, a debt-to-income ratio between 39.4% and 40.8%, and revolving utilization between 74% and 78%.

Position Within Parent Grade: Upper-middle of Grade E.

Relative Risk: E2 is considered modestly higher risk than E1, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). E2 is considered modestly lower risk than E3; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative E2 applicant presents a FICO score near 607, a DTI near 40.1%, and revolving utilization near 76%, consistent with the upper-middle position within Grade E. Grade E borrowers typically maintain FICO scores between 580 and 619, DTI ratios between 38% and 45%, and a credit history that may include a discharged bankruptcy older than 48 months or multiple recent delinquencies..

Strengths: Sits at the stronger end of Grade E: Some borrowers in this grade are past the acute phase of a prior financial setback and show early signs of recovery.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade E, though underwriters should still confirm: Very high leverage and a credit history with multiple or severe recent derogatory events, most pronounced at E4-E5.

Common Lending Concerns: Approval should not proceed without a clearly documented compensating factor (co-signer, collateral, or materially reduced exposure).

Likelihood of Manual Review: Very High — mandatory senior underwriter or credit committee review

Approval Recommendation: Enhanced review — approval only with strong compensating factors and risk-based pricing

Pricing Recommendation: Rate positioned within 22.00%–23.00% APR, at the lower end of the Grade E rate band.

Monitoring Requirements: Consistent with Grade E monitoring policy (Section 14.3); accounts at E2 follow standard Grade E monitoring cadence.

Example Applicant: A representative E2 applicant presents a FICO score near 607, a DTI near 40.1%, and revolving utilization near 76%, consistent with the upper-middle position within Grade E.

Sub-Grade E3

Risk Parameter	Range
FICO Range	596–603
Debt-to-Income (DTI)	40.8%–42.2%
Revolving Utilization	78%–82%
Base Interest Rate (APR)	23.00%–24.00%
Modeled Probability of Default	18.2%–19.8%

Sub-Grade Definition: Sub-grade E3 identifies the core / typical segment of Grade E. Applicants assigned E3 present a FICO score typically between 596 and 603, a debt-to-income ratio between 40.8% and 42.2%, and revolving utilization between 78% and 82%.

Position Within Parent Grade: Core / typical of Grade E.

Relative Risk: E3 is considered modestly higher risk than E2, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). E3 is considered modestly lower risk than E4; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative E3 applicant presents a FICO score near 600, a DTI near 41.5%, and revolving utilization near 80%, consistent with the core / typical position within Grade E. Grade E borrowers typically maintain FICO scores between 580 and 619, DTI ratios between 38% and 45%, and a credit history that may include a discharged bankruptcy older than 48 months or multiple recent delinquencies..

Strengths: Represents the typical, central risk profile of Grade E: Some borrowers in this grade are past the acute phase of a prior financial setback and show early signs of recovery.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade E, though underwriters should still confirm: Very high leverage and a credit history with multiple or severe recent derogatory events, most pronounced at E4–E5.

Common Lending Concerns: Approval should not proceed without a clearly documented compensating factor (co-signer, collateral, or materially reduced exposure).

Likelihood of Manual Review: Very High — mandatory senior underwriter or credit committee review

Approval Recommendation: Enhanced review — approval rare; typically requires collateral, co-signer, or material risk mitigation

Pricing Recommendation: Rate positioned within 23.00%–24.00% APR, at the middle end of the Grade E rate band.

Monitoring Requirements: Consistent with Grade E monitoring policy (Section 14.3); accounts at E3 follow standard Grade E monitoring cadence.

Example Applicant: A representative E3 applicant presents a FICO score near 600, a DTI near 41.5%, and revolving utilization near 80%, consistent with the core / typical position within Grade E.

Sub-Grade E4

Risk Parameter	Range
FICO Range	588–596
Debt-to-Income (DTI)	42.2%–43.6%
Revolving Utilization	82%–86%
Base Interest Rate (APR)	24.00%–25.00%
Modeled Probability of Default	19.8%–21.4%

Sub-Grade Definition: Sub-grade E4 identifies the lower-middle segment of Grade E. Applicants assigned E4 present a FICO score typically between 588 and 596, a debt-to-income ratio between 42.2% and 43.6%, and revolving utilization between 82% and 86%.

Position Within Parent Grade: Lower-middle of Grade E.

Relative Risk: E4 is considered modestly higher risk than E3, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). E4 is considered modestly lower risk than E5; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative E4 applicant presents a FICO score near 592, a DTI near 42.9%, and revolving utilization near 84%, consistent with the lower-middle position within Grade E. Grade E borrowers typically maintain FICO scores between 580 and 619, DTI ratios between 38% and 45%, and a credit history that may include a discharged bankruptcy older than 48 months or multiple recent delinquencies..

Strengths: Retains the core characteristics of Grade E approval eligibility, though with reduced margin: Some borrowers in this grade are past the acute phase of a prior financial setback and show early signs of recovery.

Weaknesses: Sits at the weaker end of Grade E: Very high leverage and a credit history with multiple or severe recent derogatory events, most pronounced at E4–E5.

Common Lending Concerns: Approval should not proceed without a clearly documented compensating factor (co-signer, collateral, or materially reduced exposure).

Likelihood of Manual Review: Very High — mandatory senior underwriter or credit committee review

Approval Recommendation: Enhanced review — approval rare; typically requires collateral, co-signer, or material risk mitigation

Pricing Recommendation: Rate positioned within 24.00%–25.00% APR, at the upper end of the Grade E rate band.

Monitoring Requirements: Consistent with Grade E monitoring policy (Section 14.3); accounts at E4 receive the closer end of the grade's monitoring cadence given proximity to the next risk tier.

Example Applicant: A representative E4 applicant presents a FICO score near 592, a DTI near 42.9%, and revolving utilization near 84%, consistent with the lower-middle position within Grade E.

Sub-Grade E5

Risk Parameter	Range
FICO Range	580–588
Debt-to-Income (DTI)	43.6%–45%
Revolving Utilization	86%–90%
Base Interest Rate (APR)	25.00%–26.00%
Modeled Probability of Default	21.4%–23%

Sub-Grade Definition: Sub-grade E5 identifies the back-of-grade (weakest, borders the next grade down) segment of Grade E. Applicants assigned E5 present a FICO score typically between 580 and 588, a debt-to-income ratio between 43.6% and 45%, and revolving utilization between 86% and 90%.

Position Within Parent Grade: Back-of-grade (weakest, borders the next grade down) of Grade E.

Relative Risk: E5 is considered modestly higher risk than E4, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). E5 is considered modestly lower risk than F1; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative E5 applicant presents a FICO score near 584, a DTI near 44.3%, and revolving utilization near 88%, consistent with the back-of-grade (weakest, borders the next grade down) position within Grade E. Grade E borrowers typically maintain FICO scores between 580 and 619, DTI ratios between 38% and 45%, and a credit history that may include a discharged bankruptcy older than 48 months or multiple recent delinquencies..

Strengths: Retains the core characteristics of Grade E approval eligibility, though with reduced margin: Some borrowers in this grade are past the acute phase of a prior financial setback and show early signs of recovery.

Weaknesses: Sits at the weaker end of Grade E: Very high leverage and a credit history with multiple or severe recent derogatory events, most pronounced at E4–E5.

Common Lending Concerns: Approval should not proceed without a clearly documented compensating factor (co-signer, collateral, or materially reduced exposure).

Likelihood of Manual Review: Very High — mandatory senior underwriter or credit committee review

Approval Recommendation: Enhanced review — approval rare; typically requires collateral, co-signer, or material risk mitigation

Pricing Recommendation: Rate positioned within 25.00%–26.00% APR, at the upper end of the Grade E rate band.

Monitoring Requirements: Consistent with Grade E monitoring policy (Section 14.3); accounts at E5 receive the closer end of the grade's monitoring cadence given proximity to the next risk tier.

Example Applicant: A representative E5 applicant presents a FICO score near 584, a DTI near 44.3%, and revolving utilization near 88%, consistent with the back-of-grade (weakest, borders the next grade down) position within Grade E.

14.4.6 Grade F Sub-Grades (F1–F5)

Sub-Grade F1

Risk Parameter	Range
FICO Range	571–579
Debt-to-Income (DTI)	45%–46.4%
Revolving Utilization	85%–88%
Base Interest Rate (APR)	26.00%–27.00%
Modeled Probability of Default	23%–24.8%

Sub-Grade Definition: Sub-grade F1 identifies the front-of-grade (strongest) segment of Grade F. Applicants assigned F1 present a FICO score typically between 571 and 579, a debt-to-income ratio between 45% and 46.4%, and revolving utilization between 85% and 88%.

Position Within Parent Grade: Front-of-grade (strongest) of Grade F.

Relative Risk: F1 is considered modestly higher risk than E5, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). F1 is considered modestly lower risk than F2; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category. Despite sitting at the front of Grade F, F1 remains higher risk than every sub-grade of Grade E, including E5 — Primary Grade boundaries are calibrated so that the weakest sub-grade of a stronger letter grade is never riskier than the strongest sub-grade of the next letter grade down.

Typical Borrower Profile: A representative F1 applicant presents a FICO score near 575, a DTI near 45.7%, and revolving utilization near 87%, consistent with the front-of-grade (strongest) position within Grade F. Grade F borrowers typically maintain FICO scores between 540 and 579, DTI ratios between 45% and 52%, and a credit history reflecting significant, relatively recent financial distress..

Strengths: Sits at the stronger end of Grade F: Narrow — occasional borrowers present a single dominant derogatory event with an otherwise stabilizing profile.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade F, though underwriters should still confirm: Extreme leverage and recent severe derogatory history (including possible recent bankruptcy), worsening toward F4–F5.

Common Lending Concerns: Credit Committee must document the specific risk mitigant relied upon for any approval; unsecured approval at this tier is disfavoured.

Likelihood of Manual Review: Very High — mandatory senior underwriter or credit committee review

Approval Recommendation: Enhanced review — approval exceptional; senior credit committee sign-off required

Pricing Recommendation: Rate positioned within 26.00%–27.00% APR, at the lower end of the Grade F rate band.

Monitoring Requirements: Consistent with Grade F monitoring policy (Section 14.3); accounts at F1 follow standard Grade F monitoring cadence.

Example Applicant: A representative F1 applicant presents a FICO score near 575, a DTI near 45.7%, and revolving utilization near 87%, consistent with the front-of-grade (strongest) position within Grade F.

Sub-Grade F2

Risk Parameter	Range
FICO Range	563–571
Debt-to-Income (DTI)	46.4%–47.8%
Revolving Utilization	88%–91%
Base Interest Rate (APR)	27.00%–28.00%
Modeled Probability of Default	24.8%–26.6%

Sub-Grade Definition: Sub-grade F2 identifies the upper-middle segment of Grade F. Applicants assigned F2 present a FICO score typically between 563 and 571, a debt-to-income ratio between 46.4% and 47.8%, and revolving utilization between 88% and 91%.

Position Within Parent Grade: Upper-middle of Grade F.

Relative Risk: F2 is considered modestly higher risk than F1, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). F2 is considered modestly lower risk than F3; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative F2 applicant presents a FICO score near 567, a DTI near 47.1%, and revolving utilization near 90%, consistent with the upper-middle position within Grade F. Grade F borrowers typically maintain FICO scores between 540 and 579, DTI ratios between 45% and 52%, and a credit history reflecting significant, relatively recent financial distress..

Strengths: Sits at the stronger end of Grade F: Narrow — occasional borrowers present a single dominant derogatory event with an otherwise stabilizing profile.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade F, though underwriters should still confirm: Extreme leverage and recent severe derogatory history (including possible recent bankruptcy), worsening toward F4–F5.

Common Lending Concerns: Credit Committee must document the specific risk mitigant relied upon for any approval; unsecured approval at this tier is disfavoured.

Likelihood of Manual Review: Very High — mandatory senior underwriter or credit committee review

Approval Recommendation: Enhanced review — approval exceptional; senior credit committee sign-off required

Pricing Recommendation: Rate positioned within 27.00%–28.00% APR, at the lower end of the Grade F rate band.

Monitoring Requirements: Consistent with Grade F monitoring policy (Section 14.3); accounts at F2 follow standard Grade F monitoring cadence.

Example Applicant: A representative F2 applicant presents a FICO score near 567, a DTI near 47.1%, and revolving utilization near 90%, consistent with the upper-middle position within Grade F.

Sub-Grade F3

Risk Parameter	Range
FICO Range	556–563
Debt-to-Income (DTI)	47.8%–49.2%
Revolving Utilization	91%–94%
Base Interest Rate (APR)	28.00%–29.00%
Modeled Probability of Default	26.6%–28.4%

Sub-Grade Definition: Sub-grade F3 identifies the core / typical segment of Grade F. Applicants assigned F3 present a FICO score typically between 556 and 563, a debt-to-income ratio between 47.8% and 49.2%, and revolving utilization between 91% and 94%.

Position Within Parent Grade: Core / typical of Grade F.

Relative Risk: F3 is considered modestly higher risk than F2, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). F3 is considered modestly lower risk than F4; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative F3 applicant presents a FICO score near 560, a DTI near 48.5%, and revolving utilization near 93%, consistent with the core / typical position within Grade F. Grade F borrowers typically maintain FICO scores between 540 and 579, DTI ratios between 45% and 52%, and a credit history reflecting significant, relatively recent financial distress..

Strengths: Represents the typical, central risk profile of Grade F: Narrow — occasional borrowers present a single dominant derogatory event with an otherwise stabilizing profile.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade F, though underwriters should still confirm: Extreme leverage and recent severe derogatory history (including possible recent bankruptcy), worsening toward F4–F5.

Common Lending Concerns: Credit Committee must document the specific risk mitigant relied upon for any approval; unsecured approval at this tier is disfavoured.

Likelihood of Manual Review: Very High — mandatory senior underwriter or credit committee review

Approval Recommendation: Enhanced review — approval exceptional; senior credit committee sign-off required

Pricing Recommendation: Rate positioned within 28.00%–29.00% APR, at the middle end of the Grade F rate band.

Monitoring Requirements: Consistent with Grade F monitoring policy (Section 14.3); accounts at F3 follow standard Grade F monitoring cadence.

Example Applicant: A representative F3 applicant presents a FICO score near 560, a DTI near 48.5%, and revolving utilization near 93%, consistent with the core / typical position within Grade F.

Sub-Grade F4

Risk Parameter	Range
FICO Range	548–556
Debt-to-Income (DTI)	49.2%–50.6%
Revolving Utilization	94%–97%
Base Interest Rate (APR)	29.00%–30.00%
Modeled Probability of Default	28.4%–30.2%

Sub-Grade Definition: Sub-grade F4 identifies the lower-middle segment of Grade F. Applicants assigned F4 present a FICO score typically between 548 and 556, a debt-to-income ratio between 49.2% and 50.6%, and revolving utilization between 94% and 97%.

Position Within Parent Grade: Lower-middle of Grade F.

Relative Risk: F4 is considered modestly higher risk than F3, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). F4 is considered modestly lower risk than F5; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative F4 applicant presents a FICO score near 552, a DTI near 49.9%, and revolving utilization near 96%, consistent with the lower-middle position within Grade F. Grade F borrowers typically maintain FICO scores between 540 and 579, DTI ratios between 45% and 52%, and a credit history reflecting significant, relatively recent financial distress..

Strengths: Retains the core characteristics of Grade F approval eligibility, though with reduced margin: Narrow — occasional borrowers present a single dominant derogatory event with an otherwise stabilizing profile.

Weaknesses: Sits at the weaker end of Grade F: Extreme leverage and recent severe derogatory history (including possible recent bankruptcy), worsening toward F4–F5.

Common Lending Concerns: Credit Committee must document the specific risk mitigant relied upon for any approval; unsecured approval at this tier is disfavoured.

Likelihood of Manual Review: Very High — mandatory senior underwriter or credit committee review

Approval Recommendation: Enhanced review — approval exceptional; senior credit committee sign-off required

Pricing Recommendation: Rate positioned within 29.00%–30.00% APR, at the upper end of the Grade F rate band.

Monitoring Requirements: Consistent with Grade F monitoring policy (Section 14.3); accounts at F4 receive the closer end of the grade's monitoring cadence given proximity to the next risk tier.

Example Applicant: A representative F4 applicant presents a FICO score near 552, a DTI near 49.9%, and revolving utilization near 96%, consistent with the lower-middle position within Grade F.

Sub-Grade F5

Risk Parameter	Range
FICO Range	540–548
Debt-to-Income (DTI)	50.6%–52%
Revolving Utilization	97%–100%

Risk Parameter	Range
Base Interest Rate (APR)	30.00%–31.00%
Modeled Probability of Default	30.2%–32%

Sub-Grade Definition: Sub-grade F5 identifies the back-of-grade (weakest, borders the next grade down) segment of Grade F. Applicants assigned F5 present a FICO score typically between 540 and 548, a debt-to-income ratio between 50.6% and 52%, and revolving utilization between 97% and 100%.

Position Within Parent Grade: Back-of-grade (weakest, borders the next grade down) of Grade F.

Relative Risk: F5 is considered modestly higher risk than F4, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). F5 is considered modestly lower risk than G1; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative F5 applicant presents a FICO score near 544, a DTI near 51.3%, and revolving utilization near 99%, consistent with the back-of-grade (weakest, borders the next grade down) position within Grade F. Grade F borrowers typically maintain FICO scores between 540 and 579, DTI ratios between 45% and 52%, and a credit history reflecting significant, relatively recent financial distress..

Strengths: Retains the core characteristics of Grade F approval eligibility, though with reduced margin: Narrow — occasional borrowers present a single dominant derogatory event with an otherwise stabilizing profile.

Weaknesses: Sits at the weaker end of Grade F: Extreme leverage and recent severe derogatory history (including possible recent bankruptcy), worsening toward F4–F5.

Common Lending Concerns: Credit Committee must document the specific risk mitigant relied upon for any approval; unsecured approval at this tier is disfavoured.

Likelihood of Manual Review: Very High — mandatory senior underwriter or credit committee review

Approval Recommendation: Enhanced review — approval exceptional; senior credit committee sign-off required

Pricing Recommendation: Rate positioned within 30.00%–31.00% APR, at the upper end of the Grade F rate band.

Monitoring Requirements: Consistent with Grade F monitoring policy (Section 14.3); accounts at F5 receive the closer end of the grade's monitoring cadence given proximity to the next risk tier.

Example Applicant: A representative F5 applicant presents a FICO score near 544, a DTI near 51.3%, and revolving utilization near 99%, consistent with the back-of-grade (weakest, borders the next grade down) position within Grade F.

14.4.7 Grade G Sub-Grades (G1–G5)

Sub-Grade G1

Risk Parameter	Range
FICO Range	531–539
Debt-to-Income (DTI)	52%–53.6%
Revolving Utilization	95%–96%
Base Interest Rate (APR)	31.00%–32.00%
Modeled Probability of Default	32%–34.6%

Sub-Grade Definition: Sub-grade G1 identifies the front-of-grade (strongest) segment of Grade G. Applicants assigned G1 present a FICO score typically between 531 and 539, a debt-to-income ratio between 52% and 53.6%, and revolving utilization between 95% and 96%.

Position Within Parent Grade: Front-of-grade (strongest) of Grade G.

Relative Risk: G1 is considered modestly higher risk than F5, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). G1 is considered modestly lower risk than G2; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category. Despite sitting at the front of Grade G, G1 remains higher risk than every sub-grade of Grade F, including F5 — Primary Grade boundaries are calibrated so that the weakest sub-grade of a stronger letter grade is never riskier than the strongest sub-grade of the next letter grade down.

Typical Borrower Profile: A representative G1 applicant presents a FICO score near 535, a DTI near 52.8%, and revolving utilization near 96%, consistent with the front-of-grade (strongest) position within Grade G. Grade G borrowers typically maintain FICO scores below 540, DTI ratios exceeding 52%, and a credit history reflecting severe, often concurrent financial distress, potentially including active judgments or liens..

Strengths: Sits at the stronger end of Grade G: Minimal; occasional exception cases involve borrowers seeking a fully secured, cash-collateralized product.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade G, though underwriters should still confirm: Severe, frequently concurrent derogatory factors across multiple categories, most acute at G4–G5.

Common Lending Concerns: Standard policy is decline; any exception requires documented Chief Credit Officer or delegated senior executive approval.

Likelihood of Manual Review: Very High — mandatory senior underwriter or credit committee review

Approval Recommendation: Decline in most circumstances; exception approval requires committee sign-off, collateral, and material risk mitigation

Pricing Recommendation: Rate positioned within 31.00%–32.00% APR, at the lower end of the Grade G rate band.

Monitoring Requirements: Consistent with Grade G monitoring policy (Section 14.3); accounts at G1 follow standard Grade G monitoring cadence.

Example Applicant: A representative G1 applicant presents a FICO score near 535, a DTI near 52.8%, and revolving utilization near 96%, consistent with the front-of-grade (strongest) position within Grade G.

Sub-Grade G2

Risk Parameter	Range
FICO Range	523–531
Debt-to-Income (DTI)	53.6%–55.2%
Revolving Utilization	96%–97%
Base Interest Rate (APR)	32.00%–33.00%
Modeled Probability of Default	34.6%–37.2%

Sub-Grade Definition: Sub-grade G2 identifies the upper-middle segment of Grade G. Applicants assigned G2 present a FICO score typically between 523 and 531, a debt-to-income ratio between 53.6% and 55.2%, and revolving utilization between 96% and 97%.

Position Within Parent Grade: Upper-middle of Grade G.

Relative Risk: G2 is considered modestly higher risk than G1, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). G2 is considered modestly lower risk than G3; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative G2 applicant presents a FICO score near 527, a DTI near 54.4%, and revolving utilization near 97%, consistent with the upper-middle position within Grade G. Grade G borrowers typically maintain FICO scores below 540, DTI ratios exceeding 52%, and a credit history reflecting severe, often concurrent financial distress, potentially including active judgments or liens..

Strengths: Sits at the stronger end of Grade G: Minimal; occasional exception cases involve borrowers seeking a fully secured, cash-collateralized product.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade G, though underwriters should still confirm: Severe, frequently concurrent derogatory factors across multiple categories, most acute at G4–G5.

Common Lending Concerns: Standard policy is decline; any exception requires documented Chief Credit Officer or delegated senior executive approval.

Likelihood of Manual Review: Very High — mandatory senior underwriter or credit committee review

Approval Recommendation: Decline in most circumstances; exception approval requires committee sign-off, collateral, and material risk mitigation

Pricing Recommendation: Rate positioned within 32.00%–33.00% APR, at the lower end of the Grade G rate band.

Monitoring Requirements: Consistent with Grade G monitoring policy (Section 14.3); accounts at G2 follow standard Grade G monitoring cadence.

Example Applicant: A representative G2 applicant presents a FICO score near 527, a DTI near 54.4%, and revolving utilization near 97%, consistent with the upper-middle position within Grade G.

Sub-Grade G3

Risk Parameter	Range
FICO Range	516–523
Debt-to-Income (DTI)	55.2%–56.8%
Revolving Utilization	97%–98%
Base Interest Rate (APR)	33.00%–34.00%
Modeled Probability of Default	37.2%–39.8%

Sub-Grade Definition: Sub-grade G3 identifies the core / typical segment of Grade G. Applicants assigned G3 present a FICO score typically between 516 and 523, a debt-to-income ratio between 55.2% and 56.8%, and revolving utilization between 97% and 98%.

Position Within Parent Grade: Core / typical of Grade G.

Relative Risk: G3 is considered modestly higher risk than G2, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). G3 is considered modestly lower risk than G4; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative G3 applicant presents a FICO score near 520, a DTI near 56.0%, and revolving utilization near 98%, consistent with the core / typical position within Grade G. Grade G borrowers typically maintain FICO scores below 540, DTI ratios exceeding 52%, and a credit history reflecting severe, often concurrent financial distress, potentially including active judgments or liens..

Strengths: Represents the typical, central risk profile of Grade G: Minimal; occasional exception cases involve borrowers seeking a fully secured, cash-collateralized product.

Weaknesses: Generally free of the weaker characteristics that appear toward the back of Grade G, though underwriters should still confirm: Severe, frequently concurrent derogatory factors across multiple categories, most acute at G4–G5.

Common Lending Concerns: Standard policy is decline; any exception requires documented Chief Credit Officer or delegated senior executive approval.

Likelihood of Manual Review: Very High — mandatory senior underwriter or credit committee review

Approval Recommendation: Decline in most circumstances; exception approval requires committee sign-off, collateral, and material risk mitigation

Pricing Recommendation: Rate positioned within 33.00%–34.00% APR, at the middle end of the Grade G rate band.

Monitoring Requirements: Consistent with Grade G monitoring policy (Section 14.3); accounts at G3 follow standard Grade G monitoring cadence.

Example Applicant: A representative G3 applicant presents a FICO score near 520, a DTI near 56.0%, and revolving utilization near 98%, consistent with the core / typical position within Grade G.

Sub-Grade G4

Risk Parameter	Range
FICO Range	508–516
Debt-to-Income (DTI)	56.8%–58.4%
Revolving Utilization	98%–99%
Base Interest Rate (APR)	34.00%–35.00%
Modeled Probability of Default	39.8%–42.4%

Sub-Grade Definition: Sub-grade G4 identifies the lower-middle segment of Grade G. Applicants assigned G4 present a FICO score typically between 508 and 516, a debt-to-income ratio between 56.8% and 58.4%, and revolving utilization between 98% and 99%.

Position Within Parent Grade: Lower-middle of Grade G.

Relative Risk: G4 is considered modestly higher risk than G3, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable). G4 is considered modestly lower risk than G5; the two are adjacent points on the same continuous risk curve, and the distinction between them is one of degree rather than of category.

Typical Borrower Profile: A representative G4 applicant presents a FICO score near 512, a DTI near 57.6%, and revolving utilization near 99%, consistent with the lower-middle position within Grade G. Grade G borrowers typically maintain FICO scores below 540, DTI ratios exceeding 52%, and a credit history reflecting severe, often concurrent financial distress, potentially including active judgments or liens..

Strengths: Retains the core characteristics of Grade G approval eligibility, though with reduced margin: Minimal; occasional exception cases involve borrowers seeking a fully secured, cash-collateralized product.

Weaknesses: Sits at the weaker end of Grade G: Severe, frequently concurrent derogatory factors across multiple categories, most acute at G4–G5.

Common Lending Concerns: Standard policy is decline; any exception requires documented Chief Credit Officer or delegated senior executive approval.

Likelihood of Manual Review: Very High — mandatory senior underwriter or credit committee review

Approval Recommendation: Decline in most circumstances; exception approval requires committee sign-off, collateral, and material risk mitigation

Pricing Recommendation: Rate positioned within 34.00%–35.00% APR, at the upper end of the Grade G rate band.

Monitoring Requirements: Consistent with Grade G monitoring policy (Section 14.3); accounts at G4 receive the closer end of the grade's monitoring cadence given proximity to the next risk tier.

Example Applicant: A representative G4 applicant presents a FICO score near 512, a DTI near 57.6%, and revolving utilization near 99%, consistent with the lower-middle position within Grade G.

Sub-Grade G5

Risk Parameter	Range
FICO Range	500–508
Debt-to-Income (DTI)	58.4%–60%
Revolving Utilization	99%–100%
Base Interest Rate (APR)	35.00%–36.00%
Modeled Probability of Default	42.4%–45%

Sub-Grade Definition: Sub-grade G5 identifies the back-of-grade (weakest, borders the next grade down) segment of Grade G. Applicants assigned G5 present a FICO score typically between 500 and 508, a debt-to-income ratio between 58.4% and 60%, and revolving utilization between 99% and 100%.

Position Within Parent Grade: Back-of-grade (weakest, borders the next grade down) of Grade G.

Relative Risk: G5 is considered modestly higher risk than G4, reflecting the incremental increase in DTI, utilization, and/or modeled default probability moving toward the back of the grade band (or into the next Primary Grade, where applicable).

Typical Borrower Profile: A representative G5 applicant presents a FICO score near 504, a DTI near 59.2%, and revolving utilization near 100%, consistent with the back-of-grade (weakest, borders the next grade down) position within Grade G. Grade G borrowers typically maintain FICO scores below 540, DTI ratios exceeding 52%, and a credit history reflecting severe, often concurrent financial distress, potentially including active judgments or liens..

Strengths: Retains the core characteristics of Grade G approval eligibility, though with reduced margin: Minimal; occasional exception cases involve borrowers seeking a fully secured, cash-collateralized product.

Weaknesses: Sits at the weaker end of Grade G: Severe, frequently concurrent derogatory factors across multiple categories, most acute at G4–G5.

Common Lending Concerns: Standard policy is decline; any exception requires documented Chief Credit Officer or delegated senior executive approval.

Likelihood of Manual Review: Very High — mandatory senior underwriter or credit committee review

Approval Recommendation: Decline in most circumstances; exception approval requires committee sign-off, collateral, and material risk mitigation

Pricing Recommendation: Rate positioned within 35.00%–36.00% APR, at the upper end of the Grade G rate band.

Monitoring Requirements: Consistent with Grade G monitoring policy (Section 14.3); accounts at G5 receive the closer end of the grade's monitoring cadence given proximity to the next risk tier.

Example Applicant: A representative G5 applicant presents a FICO score near 504, a DTI near 59.2%, and revolving utilization near 100%, consistent with the back-of-grade (weakest, borders the next grade down) position within Grade G.

14.5. Grade Transition Framework

14.5.1 How Borrowers Improve Grades (Upgrades)

Grade upgrades occur when a borrower's risk profile improves materially relative to the profile that produced their original grade assignment. Upgrades are evaluated at each renewal, refinance application, or scheduled portfolio re-score, and are never applied retroactively to the pricing of an existing, already-originated loan unless the loan agreement specifically provides for rate adjustment.

- Sustained on-time payment history over an extended period (typically 12–24 months, depending on the magnitude of the prior derogatory event)
- Material reduction in revolving utilization, reflecting either debt paydown or an increase in available credit limits
- Reduction in debt-to-income ratio, whether through income growth, debt consolidation, or payoff of other obligations
- The ageing of a derogatory credit event beyond the observation window associated with the borrower's current grade (see Section 14.3 for grade-specific ageing thresholds)
- Resolution of a collection account, judgment, or lien

14.5.2 How Borrowers Deteriorate (Downgrades)

Grade downgrades occur when new information indicates increased default risk relative to a borrower's current grade assignment. Downgrades may occur on existing accounts through the Bank's periodic portfolio re-scoring process (Chapter 18) and are a primary trigger for enhanced monitoring or early collections engagement.

- A new missed or late payment, on the account in question or on another tradeline reported to the credit bureaus
- A material increase in revolving utilization, indicating rising reliance on credit
- A new derogatory public record, such as a judgment, lien, or bankruptcy filing
- A reduction in verified income or a change in employment status
- An increase in overall debt-to-income ratio following new debt origination elsewhere

14.5.3 Risk Migration and Portfolio Implications

The Bank tracks grade migration at the portfolio level — the proportion of accounts moving up, down, or remaining stable across each re-scoring cycle — as a leading indicator of portfolio credit quality. A rising proportion of downgrades within a vintage is an early warning signal addressed under Chapter 18 (Portfolio Monitoring & Early Warning Indicators) and may trigger a review of origination standards for that vintage or channel.

Grade migration is also a direct input to the Bank's expected credit loss estimation under Chapter 16, as a deteriorating grade distribution within a portfolio segment increases the modeled loss allowance required against that segment.

14.5.4 Illustrative Transition Examples

- **Upgrade example:** A borrower originated at C4 maintains 18 months of on-time payments, reduces revolving utilization from 55% to 28%, and shows no new derogatory tradelines. At the next re-score, the account is upgraded to B3, reflecting the combined improvement in payment history and leverage.
- **Downgrade example:** A borrower originated at B2 experiences a job loss, misses two payments on an unrelated credit card, and increases revolving utilization from 22% to 61%. At the next re-score, the account is downgraded to D2, and enhanced monitoring is applied consistent with Grade D policy.
- **Multi-step migration example:** A borrower originated at F3 following a bankruptcy discharge maintains clean payment history for 30 months. As the bankruptcy ages past the Grade E and Grade D observation windows and leverage is reduced, the account migrates through E4 to D3 over successive annual re-scores — illustrating that grade improvement is typically gradual rather than immediate.

14.6. Relationship with Other Lending Features

How grade and sub-grade interact with the other data points used throughout the underwriting process.

Lending Feature	Relationship to Grade & Sub-Grade
Annual Income	Income determines absolute repayment capacity and is combined with total obligations to calculate DTI, the single largest driver of grade assignment within a given FICO band. Two applicants with identical FICO scores can receive different grades if their income levels produce materially different DTI ratios.
Debt-to-Income (DTI) Ratio	DTI is a primary grading input across all seven grades (see Section 14.3 summary tables). Elevated DTI at a given FICO level pushes an applicant toward a higher-risk grade or sub-grade, and DTI approaching the upper bound of a grade's range is a common trigger for manual review.
Loan Amount	Loan amount interacts with grade to determine total exposure. At higher-risk grades (D through G), the Bank frequently approves a reduced loan amount relative to the amount requested as a risk mitigation measure, rather than declining outright.
Interest Rate	Interest rate is an output of grade and sub-grade, not an independent input — see Section 14.3 and Section 14.4 rate bands. Loan-specific adjustments (term length, secured vs. unsecured, promotional pricing) are applied within, not across, the base grade rate band.
Employment Length	Employment tenure informs the Typical Employment Profile assessment within each grade (Section 14.3) and is a common compensating factor: a shorter employment history at an otherwise Grade B profile may still support Grade B approval if tenure with a prior employer in the same field was extensive.
Verification Status	Applications with fully verified income and identity documentation are eligible for the standard review pathway associated with their grade. Applications with unverified or partially verified income are generally subject to at least one review tier higher than the grade would otherwise indicate, regardless of assigned grade.
FICO Score	FICO score is the anchor variable for grade assignment and defines the primary boundary between grades, as reflected in the FICO ranges published for each grade in Section 14.3 and each sub-grade in Section 14.4.
Revolving Utilization	Utilization reflects current reliance on revolving credit and is a secondary but significant grading input; rising utilization at a stable FICO score is treated as an early indicator of potential future credit deterioration and may support a downgrade at the next re-score.
Bankruptcies	A bankruptcy filing is one of the most severe negative factors in the framework. The presence and recency of a bankruptcy is a primary driver of assignment to Grades E, F, or G, with the applicable grade determined largely by how much time has elapsed since discharge (see ageing thresholds in Section 14.3).
Delinquencies	The number, severity (30/60/90-day), and recency of delinquencies directly inform both Primary Grade and Sub-Grade assignment. A single dated 30-day delinquency may have minimal grading impact, while multiple 90-day delinquencies within the preceding 12 months will typically place an applicant in Grade E or worse regardless of other strong characteristics.
Home Ownership	Home ownership status is considered a compensating factor rather than a primary grading input. Verified homeownership with a stable mortgage payment history may support approval at the stronger end of a grade's sub-grade range, reflecting demonstrated long-term financial stability, but does not independently override a grade assignment driven by FICO, DTI, and credit history.

14.6.1 Worked Example — Feature Interaction

Two applicants both present a 690 FICO score, which alone would suggest a position within Grade C. Applicant One has a DTI of 24%, five years of stable employment, fully verified income, and no delinquency history — resulting in an assignment of C2. Applicant Two has a DTI of 29%, eighteen months of employment, partially verified income, and a 60-day delinquency eleven months prior — resulting in an assignment of C5. Both are Grade C, but the sub-grade distinction produces a materially different interest rate, review requirement, and monitoring cadence, illustrating why sub-grade — not Primary Grade alone — should be the basis for pricing and servicing decisions.

14.7. Approval Decision Matrix

Enterprise-level decision outcomes combining Primary Grade with the borrower's debt-to-income position or derogatory history.

Grade & Risk Condition	Decision Outcome	Underwriting Guidance
Grade A + Low DTI (<15%)	Strong Approval	Automated approval eligible. Standard terms, no compensating factors required.
Grade A + Elevated DTI (approaching 15%)	Approval, Standard Review	Automated or light-touch manual approval; confirm income documentation.
Grade B + Low-Moderate DTI	Approval, Standard Review	Standard underwriter review; approval on standard terms in most cases.
Grade B + Moderate DTI (approaching 22%)	Conditional Approval	Approve with standard conditions; confirm employment stability and utilization trend.
Grade C + Moderate DTI	Conditional Approval	Manual underwriting review; approve with standard conditions where compensating factors are adequate.
Grade C + High DTI (approaching 30%)	Manual Review	Senior underwriter review; approval likely requires reduced loan amount or shorter term.
Grade D + No Recent Delinquency	Manual Review, Conditional Approval Possible	Senior underwriter review; approval requires documented compensating factors.
Grade D + Bankruptcy or Recent Severe Delinquency	High Risk — Enhanced Review	Credit Committee input typically required; approval uncommon absent collateral or co-signer.
Grade E	Enhanced Review	Credit Committee review required; approval requires strong compensating factors (co-signer, collateral, reduced exposure).
Grade F	Enhanced Review, Approval Exceptional	Full Credit Committee review; approval limited to cases with material risk mitigation.
Grade G	Decline (Standard Outcome)	Chief Credit Officer or delegated senior executive approval required for any exception; fully secured products only.

14.7.1 How to Read This Matrix

The Approval Decision Matrix provides the enterprise starting point for a lending decision; it does not replace the grade- and sub-grade-specific guidance in Sections 14.3 and 14.4, nor does it override the professional judgement exercised by underwriters within their delegated authority. Where a specific application presents characteristics not clearly captured by the matrix — for example, a Grade C applicant with an unusually strong compensating factor — the underwriter should document the rationale for any decision that departs from the matrix's presumptive outcome, in accordance with Section 14.9.4.

14.7.2 Escalation Thresholds

- Grades A and B: standard underwriter authority; escalation to senior underwriter only above delegated loan-amount thresholds
- Grade C: mandatory manual review by a qualified underwriter; escalation to senior underwriter where DTI or utilization sits in the upper half of the grade's range
- Grade D: mandatory senior underwriter review; escalation to Credit Committee where a severe derogatory event (bankruptcy, 90-day delinquency) is present
- Grades E and F: mandatory Credit Committee review for all applications
- Grade G: mandatory Credit Committee review plus Chief Credit Officer or delegated senior executive sign-off for any exception approval

14.8. Enterprise Lending Case Studies

Illustrative applications of the Credit Grade and Sub-Grade framework across the full risk spectrum, including upgrade and downgrade scenarios.

Case Study 1 — Grade A2 Approval

Borrower Profile: Applicant is a 41-year-old civil engineer, salaried, with 9 years at her current employer, a 791 FICO score, 11% DTI, and no derogatory credit history. Requested: \$30,000 unsecured personal loan for home renovation.

Assigned Grade & Sub-Grade: A2

Business Justification: FICO and DTI both fall within the front half of the Grade A range; the absence of any derogatory history and lengthy, stable employment support a strong A2 assignment rather than the top A1 position, reflecting a loan amount at the higher end of typical Grade A originations.

Risk Assessment: Very low modeled default probability, consistent with Grade A2 parameters. No compensating factors required.

Approval Decision: Approved via automated underwriting path at standard A2 pricing.

Monitoring Strategy: Standard quarterly portfolio-level monitoring only.

Case Study 2 — Grade B4 Conditional Approval

Borrower Profile: Applicant is a 29-year-old operations coordinator, 3 years at current employer, 718 FICO score, 21% DTI, one isolated 30-day delinquency 20 months prior (since resolved). Requested: \$12,000 auto loan.

Assigned Grade & Sub-Grade: B4

Business Justification: Solid FICO score and manageable, if elevated, DTI place the applicant within Grade B; the dated but present delinquency and shorter employment tenure position the applicant toward the back of the grade at B4 rather than a stronger B-grade position.

Risk Assessment: Low-to-moderate default probability; the isolated delinquency is dated and considered a minor factor.

Approval Decision: Approved with standard conditions following underwriter review of employment documentation.

Monitoring Strategy: Standard quarterly monitoring; individual review triggered only by a new missed payment.

Case Study 3 — Grade C3 Manual Review

Borrower Profile: Applicant is a 35-year-old retail store manager, 2 years at current employer, 671 FICO score, 26% DTI, revolving utilization of 48%, no delinquency within 24 months. Requested: \$9,000 debt-consolidation loan.

Assigned Grade & Sub-Grade: C3

Business Justification: FICO, DTI, and utilization all sit near the midpoint of the Grade C range, and the absence of recent delinquency supports a core C3 position rather than a weaker C4/C5 assignment.

Risk Assessment: Moderate default probability; consolidation purpose is viewed favourably as it directly reduces post-loan DTI.

Approval Decision: Approved at requested amount following mandatory manual underwriting review; standard Grade C conditions applied.

Monitoring Strategy: Enhanced monitoring per Grade C policy, including monthly delinquency tracking for the first year.

Case Study 4 — Grade D2 Approval with Reduced Amount

Borrower Profile: Applicant is a 26-year-old rideshare and delivery driver with variable monthly income, 638 FICO score, 32% DTI (based on averaged 12-month income), no delinquency within 24 months but thin credit file. Requested: \$10,000 personal loan.

Assigned Grade & Sub-Grade: D2

Business Justification: FICO and DTI fall within the front half of Grade D, and the absence of recent delinquency is a meaningful positive factor; however, income variability and thin credit file preclude a Grade C assignment.

Risk Assessment: Elevated default probability driven primarily by income variability rather than credit history.

Approval Decision: Approved at a reduced amount of \$6,000 with a 24-month term, following senior underwriter review, as a risk mitigation measure addressing income variability.

Monitoring Strategy: Close monitoring per Grade D policy, including monthly individual account review for the first six months.

Case Study 5 — Grade D5 Decline

Borrower Profile: Applicant is a 33-year-old warehouse associate, 7 months at current employer following two prior job changes within 18 months, 621 FICO score, 37% DTI, one 60-day delinquency 4 months prior. Requested: \$15,000 personal loan.

Assigned Grade & Sub-Grade: D5

Business Justification: FICO, DTI, and utilization sit at the back edge of Grade D, and the recency of both the employment instability and the delinquency indicate risk approaching the Grade D/E boundary.

Risk Assessment: High end of Grade D modeled default probability; recency of negative indicators is the dominant concern.

Approval Decision: Declined at the requested amount; applicant was offered the opportunity to reapply for a reduced amount with a qualified co-signer.

Monitoring Strategy: Not applicable — application declined.

Case Study 6 — Grade E1 Approval with Co-Signer

Borrower Profile: Applicant is a 47-year-old administrative assistant, 588 FICO score, 41% DTI, two 90-day delinquencies 16 and 20 months prior, both since brought current. Requested: \$7,000 loan with a qualified Grade B co-signer.

Assigned Grade & Sub-Grade: E1

Business Justification: FICO and DTI fall within the front half of the Grade E range; the presence of a strong, qualified co-signer is the primary compensating factor supporting consideration at the front rather than back of Grade E.

Risk Assessment: High modeled default probability on a standalone basis; materially mitigated by co-signer participation.

Approval Decision: Approved with full co-signer participation and mandatory automatic payment enrollment, following Credit Committee review.

Monitoring Strategy: Intensive monitoring per Grade E policy, including bi-weekly review during the first 90 days.

Case Study 7 — Grade F3 Decline

Borrower Profile: Applicant is a 52-year-old self-employed contractor, 549 FICO score, 48% DTI, Chapter 7 bankruptcy discharged 15 months prior, one active collection account. Requested: \$5,000 unsecured personal loan.

Assigned Grade & Sub-Grade: F3

Business Justification: FICO, DTI, and the recency of the bankruptcy discharge (inside the Grade E/F observation window) place the applicant at the core of Grade F; the active collection account is an additional negative factor.

Risk Assessment: Very high modeled default probability; insufficient time has elapsed since bankruptcy discharge to support standard consideration.

Approval Decision: Declined; no collateral or qualified co-signer was offered at the time of application.

Monitoring Strategy: Not applicable — application declined.

Case Study 8 — Grade G2 Exception Approval (Fully Secured)

Borrower Profile: Applicant is a 44-year-old individual with a 519 FICO score, 58% DTI, an active wage garnishment, and a bankruptcy discharged 9 months prior. Applicant proposes a \$3,000 loan fully secured by a cash deposit held at the Bank.

Assigned Grade & Sub-Grade: G2

Business Justification: Severe, concurrent derogatory factors (active garnishment, recent bankruptcy, extreme DTI) place the applicant firmly within Grade G; the specific combination of factors is somewhat less severe than the most acute G4–G5 profiles.

Risk Assessment: Severe modeled default probability on an unsecured basis; fully mitigated for this transaction by 100% cash collateralization.

Approval Decision: Approved exclusively as a fully cash-secured product with no unsecured exposure, following both Credit Committee and Chief Credit Officer sign-off, consistent with standard Grade G exception policy.

Monitoring Strategy: Maximum monitoring intensity; collateral position reconciled monthly for the life of the loan.

Case Study 9 — Grade B1 to A5 Upgrade at Renewal

Borrower Profile: Applicant originated 24 months prior at B1 with a 705 FICO score and 18% DTI. At renewal, FICO has risen to 764, DTI has fallen to 14% following a promotion, and payment history is fully clean.

Assigned Grade & Sub-Grade: A5 (upgraded from B1)

Business Justification: Sustained improvement in both FICO and DTI, combined with a clean payment history over the intervening 24 months, supports migration across the Grade B/A boundary into the front of Grade A.

Risk Assessment: Very low modeled default probability, consistent with the new A5 assignment.

Approval Decision: Renewal approved at improved A5 pricing, reflecting the Section 14.5 upgrade framework.

Monitoring Strategy: Standard quarterly monitoring, consistent with Grade A policy.

Case Study 10 — Grade C2 to D3 Downgrade Following Portfolio Re-Score

Borrower Profile: Existing account originated at C2 with a 693 FICO score and 24% DTI. At the annual portfolio re-score, FICO has fallen to 641 following a new 60-day delinquency on an unrelated credit card, and utilization has risen from 38% to 68%.

Assigned Grade & Sub-Grade: D3 (downgraded from C2)

Business Justification: The new delinquency and material utilization increase both independently support downgrade consideration; combined, they place the account within the core of Grade D.

Risk Assessment: Elevated modeled default probability; downgrade triggers enhanced monitoring under Section 14.5.3.

Approval Decision: No new credit extended; existing account moved to enhanced monitoring status and flagged for proactive collections outreach per Grade D policy.

Monitoring Strategy: Close monitoring per Grade D policy, including monthly individual account review.

14.9. Operational Best Practices

14.9.1 Applying Grades Consistently

Credit Officers and Loan Underwriters must apply the Grade and Sub-Grade definitions in Sections 14.3 and 14.4 exactly as written. Where an applicant's characteristics fall between two published ranges, the underwriter should assign the grade corresponding to the borrower's dominant risk characteristics and document the basis for that judgement in the loan file.

14.9.2 Avoiding Bias in Grading and Underwriting

Grade and Sub-Grade assignment must be based exclusively on the credit, income, employment, and debt characteristics defined in this chapter. Underwriters must not consider, and the Bank's policies prohibit consideration of, race, colour, religion, national origin, sex, marital status, age, or any other characteristic protected under applicable fair lending law, in either grade assignment or the exercise of underwriting discretion. Any perceived correlation between protected characteristics and geographic or channel-level grading patterns should be escalated immediately to Compliance and Enterprise Risk Management.

14.9.3 Exercising Professional Judgement

This framework establishes the boundaries within which professional judgement operates; it does not eliminate the need for it. Underwriters are expected to identify and weigh compensating factors, assess the credibility and completeness of documentation, and escalate applications that present unusual risk combinations not clearly addressed by the standard grade definitions.

14.9.4 Manual Overrides and Documentation

Any decision that departs from the presumptive outcome indicated by an applicant's Grade, Sub-Grade, or the Approval Decision Matrix (Section 14.7) constitutes a manual override and must be documented in the loan file, including: the applicant's assigned Grade and Sub-Grade; the specific presumptive outcome being departed from; the business justification for the override; and the name and title of the approving authority. Overrides above an underwriter's delegated authority require the sign-off specified in Section 14.7.2.

14.9.5 Risk Governance

Adherence to this chapter is subject to periodic review by Internal Audit and Enterprise Risk Management, including sample-based testing of grade assignment accuracy, override frequency and justification quality, and consistency of outcomes across origination channels and Credit Officers. Material findings are reported to the Credit Risk Committee and, where applicable, escalated to the Board Risk Committee.

14.9.6 Portfolio Management Integration

Origination teams should monitor grade-mix trends against Board-approved risk appetite limits on an ongoing basis. A material shift in the distribution of originations toward higher-risk grades, whether at the enterprise level or within a specific channel or region, should be reported to the Credit Risk Committee and may trigger a review of origination standards, marketing targeting, or channel-specific controls.

14.9.7 Documentation Standards Summary

- Every application file must record the assigned Primary Grade and Sub-Grade, together with the underlying FICO score, DTI, and utilization figures used to derive it
- Every manual review must record the reviewing underwriter's name, the date of review, and a written rationale for the final decision
- Every override must be documented in accordance with Section 14.9.4
- Every Grade E, F, or G approval must record the specific compensating factor(s) or collateral relied upon

- Every grade migration (upgrade or downgrade) identified through portfolio re-scoring must be logged with the triggering factor(s) identified

14.9.8 Chapter Summary

This chapter establishes the Bank's enterprise Credit Grade and Sub-Grade framework as the foundation for consistent, risk-appropriate, and well-governed consumer lending decisions. Credit Officers, Underwriters, Risk Managers, Credit Committees, and Internal Audit should refer to this chapter, together with the related chapters identified in the Document Control section, whenever a question arises regarding the meaning, application, or governance of a Grade or Sub-Grade.